JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES

CONSOLIDATED FINANCIAL STATEMENTS AND

INDEPENDENT AUDITORS' REVIEW REPORT

MARCH 31, 2022 AND 2021

For the convenience of readers and for information purpose only, the auditors' report and the accompanying financial statements have been translated into English from the original Chinese version prepared and used in the Republic of China. In the event of any discrepancy between the English version and the original Chinese version or any differences in the interpretation of the two versions, the Chinese-language auditors' report and financial statements shall prevail.

INDEPENDENT AUDITORS' REVIEW REPORT

To the Board of Directors and Shareholders of JOCHU TECHNOLOGY CO., LTD.

Introduction

We have reviewed the accompanying consolidated balance sheet of JOCHU TECHNOLOGY CO., LTD. and subsidiaries (the "Group") as at March 31, 2022, and the related consolidated statements of comprehensive income, of changes in equity and of cash flows for the three months then ended, and notes to the consolidated financial statements, including a summary of significant accounting policies. Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and International Accounting Standard 34, "Interim Financial Reporting" as endorsed by the Financial Supervisory Commission. Our responsibility is to express a conclusion on these consolidated financial statements based on our reviews.

Scope of Review

We conducted our reviews in accordance with the Statement of Auditing Standards No. 65, "Review of Financial Information Performed by the Independent Auditor of the Entity" in the Republic of China. A review of consolidated financial statements consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion

Based on our reviews, nothing has come to our attention that causes us to believe that the accompanying consolidated financial statements do not present fairly, in all material respects, the consolidated financial position of the Group as at March 31, 2022, and of its consolidated financial performance and its consolidated cash flows for the three months then ended in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and International Accounting Standard 34, "Interim Financial Reporting" as endorsed by the Financial Supervisory Commission.

Other matter – Prior period financial statements reviewed by other independent auditors

The Group's consolidated financial statements as of and for the three months ended March 31, 2021 were reviewed by another firm of auditors, whose report dated May 13, 2021, expressed an unqualified conclusion on those statements.

Liao, Fu-Ming	Hsu, Sheng-Chung

For and on Behalf of PricewaterhouseCoopers, Taiwan

May 6, 2022

The accompanying consolidated financial statements are not intended to present the financial position and results of operations and cash flows in accordance with accounting principles generally accepted in countries and jurisdictions other than the Republic of China. The standards, procedures and practices in the Republic of China governing the audit of such financial statements may differ from those generally accepted in countries and jurisdictions other than the Republic of China. Accordingly, the accompanying consolidated financial statements and independent auditors' report are not intended for use by those who are not informed about the accounting principles or auditing standards generally accepted in the Republic of China, and their applications in practice.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
MARCH 31, 2022, DECEMBER 31, 2021 AND MARCH 31, 2021
(Expressed in thousands of New Taiwan dollars)
(The consolidated balance sheets as of March 31, 2022 are reviewed, not audited)

	Assets	Notes	March 31, 2022 AMOUNT	%	December 31, 2021 AMOUNT	%	March 31, 2021 AMOUNT	%
	Current assets							
1100	Cash and cash equivalents	6(1)	$ 1,644,291	33	$ 1,783,667	34	$ 2,356,181	41
1110	Financial assets at fair value through profit or loss - current	6(2)	7,331	-	13,657	-	5,215	-
1136	Financial assets at amortised cost - current	6(4) and 8	177,489	4	256,472	5	409,167	7
1150	Notes receivable, net	6(5)	15,872	-	24,078	1	9,336	-
1170	Accounts receivable, net	6(5)	1,166,290	23	1,154,926	22	1,100,189	19
1180	Accounts receivable - related parties, net		2,401	-	-	-	-	-
1200	Other receivables		134,588	3	146,036	3	141,109	3
1220	Current income tax assets		55,981	1	55,946	1	-	-
130X	Inventories	6(6)	284,930	6	298,774	6	284,132	5
1410	Prepayments		111,999	2	111,444	2	98,438	2
1470	Other current assets		32,802	1	44,743	1	30,691	-
11XX	**Total current assets**		3,633,974	73	3,889,743	75	4,434,458	77
	Non-current assets							
1517	Financial assets at fair value through other comprehensive income - non-current	6(3)	2,862	-	14,468	-	11,744	-
1535	Financial assets at amortised cost - non-current	6(4) and 8	384	-	371	-	-	-
1550	Investments accounted for under equity method	6(7)	11,515	-	-	-	-	-
1600	Property, plant and equipment	6(8) and 8	1,136,538	23	1,101,415	21	980,935	17
1755	Right-of-use assets	6(9)	100,012	2	110,602	2	232,683	4
1840	Deferred income tax assets		49,106	1	46,291	1	39,223	1
1975	Net defined benefit asset - non-current		8,172	-	8,159	-	7,993	-
1990	Other non-current assets	8	35,734	1	22,219	1	28,275	1
15XX	**Total non-current assets**		1,344,323	27	1,303,525	25	1,300,853	23
1XXX	**Total assets**		$ 4,978,297	100	$ 5,193,268	100	$ 5,735,311	100

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JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
MARCH 31, 2022, DECEMBER 31, 2021 AND MARCH 31, 2021
(Expressed in thousands of New Taiwan dollars)
(The consolidated balance sheets as of March 31, 2022 are reviewed, not audited)

	Liabilities and Equity	Notes	March 31, 2022 AMOUNT	%	December 31, 2021 AMOUNT	%	March 31, 2021 AMOUNT	%
	Current liabilities							
2100	Short-term borrowings	6(10)	$ 180,000	4	$ 295,000	6	$ 1,040,000	18
2130	Contract liabilities - current	6(19)	6,676	-	502	-	483	-
2150	Notes payable		2,992	-	-	-	-	-
2170	Accounts payable	6(11)	493,408	10	589,488	11	588,033	10
2200	Other payables	6(12)	301,600	6	351,235	7	293,142	5
2230	Current income tax liabilities		27,761	1	23,684	1	42,379	1
2280	Lease liabilities - current		7,504	-	23,395	-	21,633	-
2320	Long-term borrowings - current	6(13)	38,586	1	40,371	1	60,371	1
2399	Other current liabilities		2,420	-	2,224	-	3,461	-
21XX	**Total current liabilities**		1,060,947	22	1,325,899	26	2,049,502	35
	Non-current liabilities							
2540	Long-term borrowings	6(13)	456,500	9	469,000	9	162,086	3
2570	Deferred income tax liabilities		351,042	7	346,056	7	375,038	7
2580	Lease liabilities - non-current		14,657	-	17,169	-	16,970	-
2670	Other non-current liabilities		5,822	-	5,578	-	5,380	-
25XX	**Total non-current liabilities**		828,021	16	837,803	16	559,474	10
2XXX	**Total liabilities**		1,888,968	38	2,163,702	42	2,608,976	45
	Equity							
	Equity attributable to owners of the parent							
	Share capital	6(15)						
3110	Ordinary share		892,631	18	892,631	17	892,631	16
	Capital surplus	6(16)						
3200	Capital surplus		1,728,746	35	1,728,746	33	1,835,808	32
	Retained earnings	6(17)						
3310	Legal reserve		126,142	2	126,142	3	236,708	4
3320	Special reserve		385,192	8	385,192	7	398,910	7
3350	Unappropriated retained earnings		138,262	3	177,648	3	15,118	-
	Other equity interest	6(18)						
3400	Other equity interest		(326,178)	(7)	(423,293)	(8)	(401,910)	(7)
31XX	**Equity attributable to owners of the parent**		2,944,795	59	2,887,066	55	2,977,265	52
36XX	**Non-controlling interests**		144,534	3	142,500	3	149,070	3
3XXX	**Total equity**		3,089,329	62	3,029,566	58	3,126,335	55
	Significant contingent liabilities and unrecognised contract commitments	9						
	Significant events after the balance sheet date	11						
3X2X	**Total liabilities and equity**		$ 4,978,297	100	$ 5,193,268	100	$ 5,735,311	100

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
FOR THE THREE MONTHS ENDED MARCH 31, 2022 AND 2021
(Expressed in thousands of New Taiwan dollars, except for (loss) earnings per share amount)
(UNAUDITED)

	Items	Notes	Three months ended March 31 2022 AMOUNT	2022 %	2021 AMOUNT	2021 %
4000	Operating revenue	6(19)	$ 826,223	100	$ 823,990	100
5000	Operating costs	6(6)(24)(25)	(761,948)	(92)	(737,712)	(89)
5900	Gross profit		64,275	8	86,278	11
	Operating expenses	6(24)(25)				
6100	Selling and marketing expenses		(25,367)	(3)	(26,537)	(3)
6200	General and administrative expenses		(65,107)	(8)	(98,208)	(12)
6300	Research and development expenses		(8,742)	(1)	(5,827)	(1)
6450	Impairment gain	12(2)	75	-	-	-
6000	Total operating expenses		(99,141)	(12)	(130,572)	(16)
6900	Net operating loss		(34,866)	(4)	(44,294)	(5)
	Non-operating income and expenses					
7100	Interest income	6(20)	5,484	-	6,815	1
7010	Other income	6(21)	1,706	-	7,734	1
7020	Other gains and losses	6(22)	(183)	-	221,809	27
7050	Finance costs	6(23)	(2,535)	-	(4,618)	(1)
7060	Share of loss of associates accounted for under equity method	6(7)	(185)	-	-	-
7000	Total non-operating income and expenses		4,287	-	231,740	28
7900	**(Loss) profit before income tax**		(30,579)	(4)	187,446	23
7950	Income tax expense	6(26)	(11,853)	(1)	(48,118)	(6)
8200	**Profit (loss) for the period**		($ 42,432)	(5)	$ 139,328	17
	Other comprehensive income (loss)					
	Components of other comprehensive income (loss) that will be reclassified to profit or loss					
8361	Financial statements translation differences of foreign operations		$ 102,195	12	($ 17,156)	(2)
8300	**Other comprehensive income (loss) for the period**		$ 102,195	12	($ 17,156)	(2)
8500	**Total comprehensive income for the period**		$ 59,763	7	$ 122,172	15
	Profit (loss) attributable to:					
8610	Owners of the parent		($ 39,386)	(5)	$ 139,402	17
8620	Non-controlling interests		(3,046)	-	(74)	-
			($ 42,432)	(5)	$ 139,328	17
	Comprehensive income (loss) attributable to:					
8710	Owners of the parent		$ 57,729	7	$ 122,684	15
8720	Non-controlling interests		2,034	-	(512)	-
			$ 59,763	7	$ 122,172	15
	Basic (loss) earnings per share (in dollars)					
9750	Basic (loss) earnings per share	6(27)	($ 0.44)		$ 1.56	
	Diluted (loss) earnings per share (in dollars)					
9850	Diluted (loss) earnings per share	6(27)	($ 0.44)		$ 1.55	

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
FOR THE THREE MONTHS ENDED MARCH 31, 2022 AND 2021
(Expressed in thousands of New Taiwan dollars)
(UNAUDITED)

		Equity attributable to owners of the parent									
				Retained Earnings			Other Equity Interest				
	Notes	Share capital-ordinary share	Capital surplus	Legal reserve	Special reserve	Unappropriated retained earnings	Financial statements translation differences of foreign operations	Unrealised losses from financial assets at fair value through other comprehensive income	Total	Non-controlling interests	Total equity
Three months ended March 31, 2021											
Balance at January 1, 2021		$ 892,631	$1,835,843	$ 236,708	$ 398,910	($ 124,284)	($ 365,882)	($ 19,310)	$2,854,616	$ 89,147	$2,943,763
Profit (loss) for the period		-	-	-	-	139,402	-	-	139,402	(74)	139,328
Other comprehensive loss for the period	6(18)	-	-	-	-	-	(16,718)	-	(16,718)	(438)	(17,156)
Total comprehensive income (loss) for the period		-	-	-	-	139,402	(16,718)	-	122,684	(512)	122,172
Changes in ownership interests in subsidiaries	6(28)	-	(35)	-	-	-	-	-	(35)	35	-
Increase in non-controlling interest	6(28)	-	-	-	-	-	-	-	-	60,400	60,400
Balance at March 31, 2021		$ 892,631	$1,835,808	$ 236,708	$ 398,910	$ 15,118	($ 382,600)	($ 19,310)	$2,977,265	$ 149,070	$3,126,335
Three months ended March 31, 2022											
Balance at January 1, 2022		$ 892,631	$1,728,746	$ 126,142	$ 385,192	$ 177,648	($ 395,093)	($ 28,200)	$2,887,066	$ 142,500	$3,029,566
Loss for the period		-	-	-	-	(39,386)	-	-	(39,386)	(3,046)	(42,432)
Other comprehensive income for the period	6(18)	-	-	-	-	-	97,115	-	97,115	5,080	102,195
Total comprehensive income (loss) for the period		-	-	-	-	(39,386)	97,115	-	57,729	2,034	59,763
Balance at March 31, 2022		$ 892,631	$1,728,746	$ 126,142	$ 385,192	$ 138,262	($ 297,978)	($ 28,200)	$2,944,795	$ 144,534	$3,089,329

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
FOR THE THREE MONTHS ENDED MARCH 31, 2022 AND 2021
(Expressed in thousands of New Taiwan dollars)
(UNAUDITED)

	Notes	Three months ended March 31 2022	Three months ended March 31 2021
CASH FLOWS FROM OPERATING ACTIVITIES			
(Loss) profit before tax		($ 30,579)	$ 187,446
Adjustments			
Adjustments to reconcile profit (loss)			
Depreciation charges on property, plant, and equipment	6(8)(24)	30,521	33,741
Depreciation charges on right-of-use assets	6(9)(24)	7,463	6,060
Impairment gain	12(2)	(75)	-
Amortization charges	6(24)	3,203	7,195
(Gain) loss on financial assets and liabilities at fair value through profit or loss	6(2)(22)	(4,903)	2,211
Interest expense	6(23)	2,535	4,618
Interest income	6(20)	(5,484)	(6,815)
Share of loss of associates accounted for under equity method	6(7)	185	-
Gain on disposal of subsidiaries	6(22)	-	(221,431)
Gain on lease modification	6(22)	(211)	-
Changes in operating assets and liabilities			
Changes in operating assets			
Notes receivable, net		8,206	(5,023)
Accounts receivable		(11,289)	12,432
Accounts receivable - related parties, net		(2,401)	-
Other receivables		7,728	(12,737)
Inventories		13,844	(36,196)
Other current assets		8,586	(62,254)
Net defined benefit asset		(13)	(10)
Changes in operating liabilities			
Contract liabilities - current		6,174	483
Notes payable		2,992	-
Accounts payable		(96,080)	(71,093)
Other payables		(64,194)	(18,497)
Other current liabilities		196	1,602
Other non-current liabilities		239	219
Cash outflow generated from operations		(123,357)	(178,049)
Interest received		9,513	10,548
Interest paid		(2,334)	(4,653)
Income tax paid		(5,107)	(32,414)
Net cash flows used in operating activities		(121,285)	(204,568)
CASH FLOWS FROM INVESTING ACTIVITIES			
Acquisition of financial assets at amortised cost		(140,000)	(132,165)
Disposal of financial assets at amortised cost		223,325	199,135
Disposal of financial assets at fair value through profit or loss		11,229	18,640
Acquisition of property, plant, and equipment	6(29)	(34,096)	(126,117)
Acquisition of right-of-use assets		-	(6,260)
(Increase) decrease in guarantee deposits paid		(2,663)	2,777
Increase in prepayments for equipment		(10,852)	(11,110)
Disposal of subsidiaries		-	342,812
Net cash flows from investing activities		46,943	287,712
CASH FLOWS FROM FINANCING ACTIVITIES			
Proceeds from short-term borrowings	6(30)	315,000	1,272,000
Repayments of short-term borrowings	6(30)	(430,000)	(1,330,000)
Repayments of long-term borrowings	6(30)	(14,285)	(19,286)
Increase in guarantee deposits received	6(30)	-	13
Payments of lease liabilities	6(30)	(7,260)	(104,909)
Changes in non-controlling interests	6(28)	-	60,400
Net cash flows used in financing activities		(136,545)	(121,782)
Effect of exchange rate changes on cash and cash equivalents		71,511	(12,716)
Net decrease in cash and cash equivalents		(139,376)	(51,354)
Cash and cash equivalents at beginning of period		1,783,667	2,407,535
Cash and cash equivalents at end of period		$ 1,644,291	$ 2,356,181

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
NOTES TO THE COSOLIDATED FINANCIAL STATEMENTS
FOR THE THREE MONTHS ENDED MARCH 31, 2022 AND 2021
(Expressed in thousands of New Taiwan dollars, except as otherwise indicated)
(UNAUDITED)

1. History and Organization

Jochu Technology Co., Ltd. (the "Company") was incorporated in June 2020 under the provisions of the Company Act of the Republic of China (R.O.C.). The Company and its subsidiaries (the "Group") are primarily engaged in manufacturing and selling of optoelectronic components, stamping molds, metal furniture, medical devices, and related international trading business. On April 17, 2006 and December 31, 2005, the Company merged with Yourui Precision Technology Co., Ltd. ("Yourui") and Jingrong Machinery Co., Ltd. ("Jingrong"), respectively. The Company was the surviving company, while Yourui and Jingrong were the merged companies.The Company has been listed on the Taiwan Stock Exchange since April 2020.

2. The Date of Authorisation for Issuance of the Financial Statements and Procedures for Authorisation

These consolidated financial statements were authorised for issuance by the Board of Directors on May 6, 2022.

3. Application of New Standards, Amendments and Interpretations

(1) Effect of the adoption of new issuances of or amendments to International Financial Reporting Standards (“IFRS”) as endorsed by the Financial Supervisory Commission (“FSC”)

New standards, interpretations and amendments endorsed by the FSC effective from 2022 are as follows:

New Standards, Interpretations and Amendments	Effective date by International Accounting Standards Board
Amendments to IFRS 3, ‘Reference to the conceptual framework’	January 1, 2022
Amendments to IAS 16, ‘Property, plant and equipment: proceeds before intended use’	January 1, 2022
Amendments to IAS 37, ‘Onerous contracts-cost of fulfilling a contract’	January 1, 2022
Annual improvements to IFRS Standards 2018-2020	January 1, 2022

The above standards and interpretations have no significant impact to the Group’s financial condition and financial performance based on the Group’s assessment.

(2) Effect of new issuances of or amendments to IFRSs as endorsed by the FSC but not yet adopted by the Group

None.

(3) IFRSs issued by International Accounting Standards Board ("IASB") but not yet endorsed by the FSC

New standards, interpretations and amendments issued by IASB but not yet included in the IFRSs as endorsed by the FSC are as follows:

New Standards, Interpretations and Amendments	Effective date by IASB
Amendments to IFRS 10 and IAS 28, 'Sale or contribution of assets between an investor and its associate or joint venture'	To be determined by IASB
IFRS 17, 'Insurance contracts'	January 1, 2023
Amendments to IFRS 17, 'Insurance contracts'	January 1, 2023
Amendment to IFRS 17, 'Initial application of IFRS 17 and IFRS 9 – comparative information'	January 1, 2023
Amendments to IAS 1, 'Classification of liabilities as current or non-current'	January 1, 2023
Amendments to IAS 1, 'Disclosure of accounting policies'	January 1, 2023
Amendments to IAS 8, 'Definition of accounting estimates'	January 1, 2023
Amendments to IAS 12, 'Deferred tax related to assets and liabilities arising from a single transaction'	January 1, 2023

The above standards and interpretations have no significant impact to the Group's financial condition and financial performance based on the Group's assessment.

4. Summary of Significant Accounting Policies

The principal accounting policies applied in the preparation of these consolidated financial statements are set out below. These policies have been consistently applied to all the periods presented, unless otherwise stated.

(1) Compliance statement

The consolidated financial statements of the Group have been prepared in accordance with the "Regulations Governing the Preparation of Financial Reports by Securities Issuers" and the International Accounting Standard 34, 'Interim financial reporting' as endorsed by the FSC.

(2) Basis of preparation

A. Except for the following items, the consolidated financial statements have been prepared under the historical cost convention:

(a) Financial assets and financial liabilities (including derivative instruments) at fair value through profit or loss.

(b) Financial assets at fair value through other comprehensive income.

(c) Defined benefit assets recognised based on the net amount of pension fund assets less present value of defined benefit obligation.

B. The preparation of financial statements in conformity with International Financial Reporting Standards, International Accounting Standards, IFRIC Interpretations, and SIC Interpretations as endorsed by the FSC (collectively referred herein as the "IFRSs") requires the use of certain critical accounting estimates. It also requires management to exercise its judgment in the process of applying the Group's accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the consolidated financial statements are disclosed in Note 5.

(3) <u>Basis of consolidation</u>

A. Basis for preparation of consolidated financial statements:

(a) All subsidiaries are included in the Group's consolidated financial statements. Subsidiaries are all entities controlled by the Group. The Group controls an entity when the Group is exposed, or has rights, to variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Consolidation of subsidiaries begins from the date the Group obtains control of the subsidiaries and ceases when the Group loses control of the subsidiaries.

(b) Inter-company transactions, balances and unrealised gains or losses on transactions between companies within the Group are eliminated. Accounting policies of subsidiaries have been adjusted where necessary to ensure consistency with the policies adopted by the Group.

(c) Profit or loss and each component of other comprehensive income are attributed to the owners of the parent and to the non-controlling interests. Total comprehensive income is attributed to the owners of the parent and to the non-controlling interests even if this results in the non-controlling interests having a deficit balance.

(d) Changes in a parent's ownership interest in a subsidiary that do not result in the parent losing control of the subsidiary (transactions with non-controlling interests) are accounted for as equity transactions, i.e. transactions with owners in their capacity as owners. Any difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration paid or received is recognised directly in equity.

(e) When the Group loses control of a subsidiary, the Group remeasures any investment retained in the former subsidiary at its fair value. That fair value is regarded as the fair value on initial recognition of a financial asset or the cost on initial recognition of the associate or joint venture. Any difference between fair value and carrying amount is recognised in profit or loss. All amounts previously recognised in other comprehensive income in relation to the subsidiary are reclassified to profit or loss on the same basis as would be required if the related assets or liabilities were disposed of. That is, when the Group loses control of a subsidiary, all gains or losses previously recognised in other comprehensive income in relation to the subsidiary should be reclassified from equity to profit or loss, if such gains or losses would be reclassified to profit or loss when the related assets or liabilities are disposed of.

B. Subsidiaries included in the consolidated financial statements:

Name of investor	Name of subsidiary	Main business activities	Ownership(%) March 31, 2022	Ownership(%) December 31, 2021	Ownership(%) March 31, 2021	Description
The Company	JOCHU INVESTMENT LTD. (JOCHU BVI)	Investment holding	100%	100%	100%	
	LEGIUN Technology Co., Ltd. (LEGIUN)	Sales of medical devices	100%	100%	100%	
JOCHU BVI	Suzhou Jochu Precision Metal Co., Ltd. (SUZHOU JOCHU)	Production and sales of optoelectronic components, stamping molds, and related international trading business	100%	100%	100%	
	HER SHIN INTERNATIONAL CO., LTD. (HER SHIN)	Investment holding	-	-	100%	Note 2
	JOCHU GLOBAL INVESTMENT (CAYMAN) LTD. (JOCHU GLOBAL)	Investment holding	100%	100%	100%	
	PROSPERITY INVESTMENT HOLDING PTE. LTD. (PIH)	Investment holding	65%	65%	65%	Note 3
	JOCHU TECHNOLOGY (VIETNAM) CO., LTD. (JOCHU VIETNAM)	Production and sales of optoelectronic components, stamping molds, and related international trading business	-	-	2.56%	Note 6

Name of investor	Name of subsidiary	Main business activities	Ownership(%) March 31, 2022	Ownership(%) December 31, 2021	Ownership(%) March 31, 2021	Description
JOCHU GLOBAL	JOCHU INTERNATIONAL (CAYMAN) LTD. (JOCHU INTERNATIONAL)	Investment holding	100%	100%	100%	
JOCHU INTERNATIONAL	Jochu Technology (Xiamen) Ltd. (XIAMEN JOCHU)	Production and sales of optoelectronic components, stamping molds, and related international trading business	66.67%	66.67%	66.67%	
PIH	JOCHU VIETNAM	Sales of optoelectronic components, stamping molds, and related international trading business	100%	100%	97.44%	Note 4 Note 6
SUZHOU JOCHU	Shengding Trading (Suzhou) Co., Ltd.	Sales of optoelectronic components, stamping molds, and related international trading business	-	-	100%	Note 7
	Foshan Zhenxuan Precision Technology Industry Co., Ltd. (FOSHAN ZHENXUAN)	Sales of optoelectronic components, stamping molds, and related international trading business	-	-	-	Note 1

Name of investor	Name of subsidiary	Main business activities	Ownership(%) March 31, 2022	December 31, 2021	March 31, 2021	Description
SUZHOU JOCHU	XIAMEN JOCHU	Production and sales of optoelectronic components, stamping molds, and related international trading business	33.33%	33.33%	33.33%	
XIAMEN JOCHU	Qiding Trading (Xiamen) Co., Ltd.	Sales of optoelectronic components, stamping molds, and related international trading business	-	-	-	Note 5
FOSHAN ZHENXUAN	Foshan Shengding Trading Co., Ltd. (FOSHAN SHENGDING)	Sales of optoelectronic components, stamping molds, and related international trading business	-	-	-	Note 1

Note 1: The Group sold 100% shares in FOSHAN ZHENXUAN to Foshan Bailima Doors and Windows Co., Ltd., a non-related party, by resolution of the board of directors of the Company on January 21, 2021. The transfer of ownership was effective on January 21, 2021, i.e. the date the Group lost control of FOSHAN ZHENXUAN. As a result of the transaction, the Group recognised gains on disposal of subsidiary of $221,431, which was recognised in other gains and losses in the consolidated statement of comprehensive income. Information relating to cash flow for FOSHAN ZHENXUAN is provided in Note 6(29)

Note 2: For the purpose of simplifying organizational structure of the Group and activate funds, the board of directors of the company resolved the appropriation of earnings and capital reduction of HER SHIN on March 26, 2021. The effective date of capital reduction was April 6, 2021. Part of the earnings and capital reduction amounting to US$19,027 thousand were remitted to the Company on April 7, 2021, the remaining earnings and capital reduction amounting to US$126 thousand were remitted to JOCHU BVI on August 24, 2021, and the liquidation process for HER SHIN was completed on the same date.

Note 3: In March 2021, the Company resolved the capital injection in PIH amounting to US$6,484 thousand, and the Company injected US$4,349 thousand through JOCHU BVI. As a result, the Company’s shareholding in PIH increased from 63.45% to 65%.

Note 4: In March 2021, the Company resolved the capital injection in JOCHU VIETNAM through JOCHU BVI and PIH amounting to US$3,900 thousand. As a result, the Group’s total ownership interest in JOCHU VIETNAM increased from 65% to 65.9%.

Note 5: For the purpose of organizational restructuring, Xiamen Qiding was liquidated by the resolution of the Board of Directors of the Company on December 21, 2020, and completed the cancellation of registration on March 23, 2021.

Note 6: For the purpose of simplifying organizational structure of the Group, JOCHU BVI sold 2.56% of shareholding in JOCHU VIETNAM directly held by JOCHU BVI to PIH in May 2021 for the price of US$384 thousand. After the transfer of ownership, the Group's total ownership interest in JOCHU VIETNAM decreased from 65.9% to 65%.

Note 7: For the purpose of organizational restructuring, Suzhou Shengding was liquidated by the resolution of the Board of Directors of the Company on December 21, 2020, and the deregistration was completed on October 28, 2021.

C. Subsidiaries not included in the consolidated financial statements: None.

D. Adjustments for subsidiaries with different balance sheet dates: None.

E. Significant restrictions: None.

(4) Foreign currency translation

Items included in the financial statements of each of the Group’s entities are measured using the currency of the primary economic environment in which the entity operates (the “functional currency”). The consolidated financial statements are presented in New Taiwan dollars, which is the Company’s functional and the Group’s presentation currency.

A. Foreign currency transactions and balances

(a) Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions or valuation where items are remeasured. Foreign exchange gains and losses resulting from the settlement of such transactions are recognised in profit or loss in the period in which they arise.

(b) Monetary assets and liabilities denominated in foreign currencies at the period end are re-translated at the exchange rates prevailing at the balance sheet date. Exchange differences arising upon re-translation at the balance sheet date are recognised in profit or loss.

(c) Non-monetary assets and liabilities denominated in foreign currencies held at fair value through profit or loss are re-translated at the exchange rates prevailing at the balance sheet date; their translation differences are recognised in profit or loss. Non-monetary assets and liabilities denominated in foreign currencies held at fair value through other comprehensive income are re-translated at the exchange rates prevailing at the balance sheet date; their translation differences are recognised in other comprehensive income. However, non-monetary assets and liabilities denominated in foreign currencies that are not measured at fair value are translated using the historical exchange rates at the dates of the initial transactions.

(d) All foreign exchange gains and losses are presented in the statement of comprehensive income within ‘other gains and losses’.

B. Translation of foreign operations

(a) The operating results and financial position of all the group entities, associates and joint arrangements that have a functional currency different from the presentation currency are translated into the presentation currency as follows:

i. Assets and liabilities for each balance sheet presented are translated at the closing exchange rate at the date of that balance sheet;

ii. Income and expenses for each statement of comprehensive income are translated at average exchange rates of that period; and

iii. All resulting exchange differences are recognised in other comprehensive income.

(b) When the foreign operation partially disposed of or sold is a subsidiary, cumulative exchange differences that were recorded in other comprehensive income are proportionately transferred to the non-controlling interest in this foreign operation. In addition, even when the Group retains partial interest in the former foreign subsidiary after losing control of the former foreign subsidiary, such transactions should be accounted for as disposal of all interest in the foreign operation.

(5) Classification of current and non-current items

A. Assets that meet one of the following criteria are classified as current assets; otherwise they are classified as non-current assets:

(a) Assets arising from operating activities that are expected to be realised, or are intended to be sold or consumed within the normal operating cycle;

(b) Assets held mainly for trading purposes;

(c) Assets that are expected to be realised within twelve months from the balance sheet date;

(d) Cash and cash equivalents, excluding restricted cash and cash equivalents and those that are to be exchanged or used to settle liabilities more than twelve months after the balance sheet date.

B. Liabilities that meet one of the following criteria are classified as current liabilities; otherwise they are classified as non-current liabilities:

(a) Liabilities that are expected to be settled within the normal operating cycle;

(b) Liabilities arising mainly from trading activities;

(c) Liabilities that are to be settled within twelve months from the balance sheet date;

(d) Liabilities for which the repayment date cannot be extended unconditionally to more than twelve months after the balance sheet date. Terms of a liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments do not affect its classification.

(6) Cash equivalents

Cash equivalents refer to short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value. Time deposits that meet the definition above and are held for the purpose of meeting short-term cash commitments in operations are classified as cash equivalents.

(7) Financial assets at fair value through profit or loss

A. Financial assets at fair value through profit or loss are financial assets that are not measured at amortised cost or fair value through other comprehensive income.

B. On a regular way purchase or sale basis, financial assets at fair value through profit or loss are recognised and derecognised using trade date accounting.

C. At initial recognition, the Group measures the financial assets at fair value and recognises the transaction costs in profit or loss. The Group subsequently measures the financial assets at fair value, and recognises the gain or loss in profit or loss.

(8) Financial assets at fair value through other comprehensive income

A. Financial assets at fair value through other comprehensive income comprise equity securities which are not held for trading, and for which the Group has made an irrevocable election at initial recognition to recognise changes in fair value in other comprehensive income.

B. On a regular way purchase or sale basis, financial assets at fair value through other comprehensive income are recognised and derecognised using trade date accounting.

C. At initial recognition, the Group measures the financial assets at fair value plus transaction costs. The Group subsequently measures the financial assets at fair value:

The changes in fair value of equity investments that were recognised in other comprehensive income are reclassified to retained earnings and are not reclassified to profit or loss following the derecognition of the investment. Dividends are recognised as revenue when the right to receive payment is established, future economic benefits associated with the dividend will flow to the Group and the amount of the dividend can be measured reliably.

(9) Financial assets at amortised cost

A. Financial assets at amortised cost are those that meet all of the following criteria:

(a) The objective of the Group's business model is achieved by collecting contractual cash flows.

(b) The assets' contractual cash flows represent solely payments of principal and interest.

B. On a regular way purchase or sale basis, financial assets at amortised cost are recognised and derecognised using trade date accounting.

C. At initial recognition, the Group measures the financial assets at fair value plus transaction costs. Interest income from these financial assets is included in finance income using the effective interest method. A gain or loss is recognised in profit or loss when the asset is derecognised or impaired.

D. The Group's time deposits which do not fall under cash equivalents are those with a short maturity period and are measured at initial investment amount as the effect of discounting is immaterial.

(10) Notes and accounts receivable

A. Notes and accounts receivable entitle the Group a legal right to receive consideration in exchange for transferred goods or rendered services.

B. The short-term notes and accounts receivable without bearing interest are subsequently measured at initial invoice amount as the effect of discounting is immaterial.

(11) Impairment of financial assets

For financial assets at amortised cost including accounts receivable that have a significant financing component, at each reporting date, the Group recognises the impairment provision for 12 months expected credit losses if there has not been a significant increase in credit risk since initial recognition or recognises the impairment provision for the lifetime expected credit losses (ECLs) if such credit risk has increased since initial recognition after taking into consideration all reasonable and verifiable information that includes forecasts. On the other hand, for accounts receivable or contract assets that do not contain a significant financing component, the Group recognises the impairment provision for lifetime ECLs.

(12) Derecognition of financial assets

The Group derecognises a financial asset when the contractual rights to receive the cash flows from the financial asset expire.

(13) Inventories

Inventories are stated at the lower of cost and net realisable value. Cost is determined using the weighted-average method. The cost of finished goods and work in progress comprises raw materials, direct labour, other direct costs and related production overheads (allocated based on normal operating capacity). It excludes borrowing costs. The item by item approach is used in applying the lower of cost and net realisable value. Net realisable value is the estimated selling price in the ordinary course of business, less the estimated cost of completion and the estimated costs necessary to make the sale.

(14) Investments accounted for using equity method / associates

A. Associates are all entities over which the Group has significant influence but not control. In general, it is presumed that the investor has significant influence, if an investor holds, directly or indirectly 20 percent or more of the voting power of the investee. Investments in associates are accounted for using the equity method and are initially recognised at cost.

B. The Group's share of its associates' post-acquisition profits or losses is recognised in profit or loss, and its share of post-acquisition movements in other comprehensive income is recognised in other comprehensive income. When the Group's share of losses in an associate equals or exceeds its interest in the associate, including any other unsecured receivables, the Group does not recognise further losses, unless it has incurred legal or constructive obligations or made payments on behalf of the associate.

C. When changes in an associate's equity do not arise from profit or loss or other comprehensive income of the associate and such changes do not affect the Group's ownership percentage of the associate, the Group recognises the Group's share of change in equity of the associate in 'capital surplus' in proportion to its ownership.

D. Unrealised gains on transactions between the Group and its associates are eliminated to the extent of the Group's interest in the associates. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred. Accounting policies of associates have been adjusted where necessary to ensure consistency with the policies adopted by the Group.

E. When the Group disposes its investment in an associate and loses significant influence over this associate, the amounts previously recognised in other comprehensive income in relation to the associate, are reclassified to profit or loss, on the same basis as would be required if the relevant assets or liabilities were disposed of. If it retains significant influence over this associate, the amounts previously recognised in other comprehensive income in relation to the associate are reclassified to profit or loss proportionately in accordance with the aforementioned approach.

(15) Property, plant and equipment

A. Property, plant and equipment are initially recorded at cost. Borrowing costs incurred during the construction period are capitalised.

B. Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognised. All other repairs and maintenance are charged to profit or loss during the financial period in which they are incurred.

C. Land is not depreciated. Other property, plant and equipment apply cost model and are depreciated using the straight-line method to allocate their cost over their estimated useful lives. Each part of an item of property, plant, and equipment with a cost that is significant in relation to the total cost of the item must be depreciated separately.

D. The assets' residual values, useful lives and depreciation methods are reviewed, and adjusted if appropriate, at each financial year-end. If expectations for the assets' residual values and useful lives differ from previous estimates or the patterns of consumption of the assets' future economic benefits embodied in the assets have changed significantly, any change is accounted for as a change in estimate under IAS 8, 'Accounting Policies, Changes in Accounting Estimates and Errors', from the date of the change. The estimated useful lives of property, plant and equipment are as follows:

Buildings and structures	3 years ~ 36 years
Machinery and equipment	2 years ~ 8 years
Transportation equipment	3 years ~ 5 years
Office equipment	3 years ~ 5 years
Leasehold improvements	2 years ~ 5 years
Other equipment	1 years ~ 10 years

(16) Leasing arrangements (lessee)－right-of-use assets / lease liabilities

A. Leases are recognised as a right-of-use asset and a corresponding lease liability at the date at which the leased asset is available for use by the Group. For short-term leases or leases of low-value assets, lease payments are recognised as an expense on a straight-line basis over the lease term.

B. Lease liabilities include the net present value of the remaining lease payments at the commencement date, discounted using the incremental borrowing interest rate.

Lease payments are comprised of fixed payments, less any lease incentives receivable.The Group subsequently measures the lease liability at amortised cost using the interest method and recognises interest expense over the lease term. The lease liability is remeasured and the amount of remeasurement is recognised as an adjustment to the right-of-use asset when there are changes in the lease term or lease payments and such changes do not arise from contract modifications.

C. At the commencement date, the right-of-use asset is stated at cost comprising the amount of the initial measurement of lease liability.

The right-of-use asset is measured subsequently using the cost model and is depreciated from the commencement date to the earlier of the end of the asset's useful life or the end of the lease term. When the lease liability is remeasured, the amount of remeasurement is recognised as an adjustment to the right-of-use asset.

D. For lease modifications that decrease the scope of the lease, the lessee shall decrease the carrying amount of the right-of-use asset and remeasure the lease liability to reflect the partial or full termination of the lease, and recognise the difference in profit or loss.

(17) Impairment of non-financial assets

The Group assesses at each balance sheet date the recoverable amounts of those assets where there is an indication that they are impaired. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell or value in use. When the circumstances or reasons for recognising impairment loss for an asset in prior years no longer exist or diminish, the impairment loss is reversed. The increased carrying amount due to reversal should not be more than what the depreciated or amortised historical cost would have been if the impairment had not been recognised.

(18) Borrowings

Borrowings comprise long-term and short-term bank borrowings. Borrowings are recognised initially at fair value, net of transaction costs incurred. Borrowings are subsequently stated at amortised cost; any difference between the proceeds (net of transaction costs) and the redemption value is recognised in profit or loss over the period of the borrowings using the effective interest method.

(19) Notes and accounts payable

A. Accounts payable are liabilities for purchases of raw materials, goods or services and notes payable are those resulting from operating and non-operating activities.

B. The short-term notes and accounts payable without bearing interest are subsequently measured at initial invoice amount as the effect of discounting is immaterial.

(20) Derecognition of financial liabilities

A financial liability is derecognised when the obligation specified in the contract is either discharged or cancelled or expires.

(21) Non-hedging and embedded derivatives

Non-hedging derivatives are initially recognised at fair value on the date a derivative contract is entered into and recorded as financial assets or financial liabilities at fair value through profit or loss. They are subsequently remeasured at fair value and the gains or losses are recognised in profit or loss.

(22) Employee benefits

A. Short-term employee benefits

Short-term employee benefits are measured at the undiscounted amount of the benefits expected to be paid in respect of service rendered by employees in a period and should be recognised as expense in that period when the employees render service.

B. Pensions

(a) Defined contribution plans

For defined contribution plans, the contributions are recognised as pension expense when they are due on an accrual basis. Prepaid contributions are recognised as an asset to the extent of a cash refund or a reduction in the future payments.

(b) Defined benefit plans

i. Net obligation under a defined benefit plan is defined as the present value of an amount of pension benefits that employees will receive on retirement for their services with the Group in current period or prior periods. The liability recognised in the balance sheet in respect of defined benefit pension plans is the present value of the defined benefit obligation at the balance sheet date less the fair value of plan assets. The net defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method.

ii. Remeasurements arising on defined benefit plans are recognised in other comprehensive income in the period in which they arise and are recorded as retained earnings.

iii. Past service costs are recognised immediately in profit or loss.

iv. Pension cost for the interim period is calculated on a year-to-date basis by using the pension cost rate derived from the actuarial valuation at the end of the prior financial year, adjusted for significant market fluctuations since that time and for significant curtailments, settlements, or other significant one-off events. Also, the related information is disclosed accordingly.

C. Employees' compensation and directors' and supervisors' remuneration

Employees' compensation and directors' and supervisors' remuneration are recognised as expense and liability, provided that such recognition is required under legal or constructive obligation and those amounts can be reliably estimated. Any difference between the resolved amounts and the subsequently actual distributed amounts is accounted for as changes in estimates. If employee compensation is paid by shares, the Group calculates the number of shares based on the closing price at the previous day of the board meeting resolution.

(23) Income tax

A. The tax expense for the period comprises current and deferred tax. Tax is recognised in profit or loss, except to the extent that it relates to items recognised in other comprehensive income or items recognised directly in equity, in which cases the tax is recognised in other comprehensive income or equity.

B. The current income tax expense is calculated on the basis of the tax laws enacted or substantively enacted at the balance sheet date in the countries where the Company and its subsidiaries operate and generate taxable income. Management periodically evaluates positions taken in tax returns with respect to situations in accordance with applicable tax regulations. It establishes provisions where appropriate based on the amounts expected to be paid to the tax authorities. An additional tax is levied on the unappropriated retained earnings and is recorded as income tax expense in the year the stockholders resolve to retain the earnings.

C. Deferred tax is recognised, using the balance sheet liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the consolidated balance sheet. However, the deferred tax is not accounted for if it arises from initial recognition of goodwill or of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss. Deferred tax is provided on temporary differences arising on investments in subsidiaries and associates, except where the timing of the reversal of the temporary difference is controlled by the Group and it is probable that the temporary difference will not reverse in the foreseeable future. Deferred tax is determined using tax rates (and laws) that have been enacted or substantially enacted by the balance sheet date and are expected to apply when the related deferred tax asset is realised or the deferred tax liability is settled.

D. Deferred tax assets are recognised only to the extent that it is probable that future taxable profit will be available against which the temporary differences can be utilised. At each balance sheet date, unrecognised and recognised deferred tax assets are reassessed.

E. Current income tax assets and liabilities are offset and the net amount reported in the balance sheet when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously. Deferred tax assets and liabilities are offset on the balance sheet when the entity has the legally enforceable right to offset current tax assets against current tax liabilities and they are levied by the same taxation authority on either the same entity or different entities that intend to settle on a net basis or realise the asset and settle the liability simultaneously.

F. The interim period income tax expense is recognised based on the estimated average annual effective income tax rate expected for the full financial year applied to the pretax income of the interim period, and the related information is disclosed accordingly.

(24) Share capital

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of new shares or stock options are shown in equity as a deduction, net of tax, from the proceeds.

(25) Dividends

Dividends are recorded in the Company's financial statements in the period in which they are resolved by the Company's shareholders. Cash dividends are recorded as liabilities; stock dividends are recorded as stock dividends to be distributed and are reclassified to ordinary shares on the effective date of new shares issuance.

(26) Revenue recognition

(a) The Group manufactures and sells optoelectronic components, medical devices, and metal furniture. Sales are recognised when control of the products has transferred, being when the products are delivered to the customer, the customer has full discretion over the channel and price to sell the products, and there is no unfulfilled obligation that could affect the customer's acceptance of the products. Delivery occurs when the products have been shipped to the specific location, the risks of obsolescence and loss have been transferred to the customer, and either the customer has accepted the products in accordance with the sales contract, or the Group has objective evidence that all criteria for acceptance have been satisfied.

(b) Revenue from these sales is recognised based on the price specified in the contract, net of the estimated sales return, discounts, and allowances. Revenue is only recognised to the extent that it is highly probable that a significant reversal will not occur. The estimation is subject to an assessment at each reporting date. A refund liability is recognised for expected sales return, discounts, and allowances payable to customers in relation to sales made until the end of the reporting period.

(c) A receivable is recognised when the goods are delivered as this is the point in time that the consideration is unconditional because only the passage of time is required before the payment is due.

(27) Government grants

Government grants are recognised at their fair value only when there is reasonable assurance that the Group will comply with any conditions attached to the grants and the grants will be received. Government grants are recognised in profit or loss on a systematic basis over the periods in which the Group recognises expenses for the related costs for which the grants are intended to compensate. Government grants related to property, plant and equipment are recognised as non-current liabilities and are amortised to profit or loss over the estimated useful lives of the related assets using the straight-line method.

(28) Operating segments

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker. The Group's chief operating decision maker, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the Board of Directors that makes strategic decisions.

5. Critical Accounting Judgments, Estimates and Key Sources of Assumption Uncertainty

The preparation of these consolidated financial statements requires management to make critical judgments in applying the Group's accounting policies and make critical assumptions and estimates concerning future events. Assumptions and estimates may differ from the actual results and are continually evaluated and adjusted based on historical experience and other factors. Such assumptions and estimates have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year; and the related information is addressed below:

(1) Critical judgments in applying the Group's accounting policies

None.

(2) Critical accounting estimates and assumptions

Evaluation of inventories

As inventories are stated at the lower of cost and net realisable value, the Group must determine the net realisable value of inventories on balance sheet date using judgments and estimates. Due to the rapid technology innovation, the Group evaluates the amounts of normal inventory consumption, obsolete inventories or inventories without market selling value on balance sheet date, and writes down the cost of inventories to the net realisable value. Such an evaluation of inventories is principally based on the net realizable value of the products within the specified period in the future. Therefore, there might be material changes to the evaluation.

6. Details of Significant Accounts

(1) Cash and cash equivalents

	March 31, 2022	December 31, 2021	March 31, 2021
Cash on hand and petty cash	$ 503	$ 330	$ 496
Checking accounts and demand deposits	345,465	340,981	375,408
Time deposits	1,298,323	1,442,356	1,980,277
	$ 1,644,291	$ 1,783,667	$ 2,356,181

A. The Group transacts with a variety of financial institutions all with high credit quality to disperse credit risk, so it expects that the probability of counterparty default is remote.

B. The Group has no cash and cash equivalents pledged to others.

(2) Financial assets at fair value through profit or loss

	March 31, 2022	December 31, 2021	March 31, 2021
Current items:			
Financial assets mandatorily measured at fair value through profit or loss			
Forward foreign exchange contracts	$ 7,331	$ 13,657	$ 5,215

A. Amounts recognised in profit or loss in relation to financial assets at fair value through profit or loss are listed below:

	Three months ended March 31,	
	2022	2021
Financial assets mandatorily measured at fair value through profit or loss		
Forward foreign exchange contracts	$ 4,903	($ 2,211)

B. The Group entered into contracts relating to derivative financial assets which were not accounted for under hedge accounting. The information is listed below:

	March 31, 2022		
Derivative financial instruments	Contract amount (notional principal) (in thousands)		Maturity date
Current items:			
Forward foreign exchange contracts			
Sell USD Buy RMB	USD	19,500	2022.04.26~2022.12.28
Sell USD Buy NTD	USD	2,580	2022.04.08~2022.05.10

Derivative financial instruments	December 31, 2021		
	Contract amount (notional principal) (in thousands)		Maturity date
Current items:			
Forward foreign exchange contracts			
Sell USD Buy RMB	USD	24,450	2022.01.26~2022.09.27
Sell USD Buy NTD	USD	3,340	2022.01.10~2022.04.08

Derivative financial instruments	March 31, 2021		
	Contract amount (notional principal) (in thousands)		Maturity date
Current items:			
Forward foreign exchange contracts			
Sell USD Buy RMB	USD	23,600	2021.04.26~2021.12.27
Sell USD Buy NTD	USD	3,330	2021.04.09~2021.07.09

Forward foreign exchange contracts:

The Group entered into forward foreign exchange contracts to sell USD to hedge exchange rate fluctuations of foreign currency denominated assets and liabilities. However, these forward foreign exchange contracts are not accounted for under hedge accounting.

C. The Group had no financial assets at fair value through profit or loss pledged to others as collateral.

D. Information relating to credit risk of financial assets at fair value through profit or loss is provided in Note 12(2).

(3) Financial assets at fair value through other comprehensive income

Items	March 31, 2022	December 31, 2021	March 31, 2021
Non-current items:			
Equity instruments			
Unlisted stocks			
W Company	$ 2,862	$ 2,768	$ 2,854
I Company	28,200	28,200	28,200
eBio International Co., Ltd.	-	11,700	-
	31,062	42,668	31,054
Valuation adjustment	(28,200)	(28,200)	(19,310)
	$ 2,862	$ 14,468	$ 11,744

A. The Group has elected to classify equity instruments that are considered to be strategic investments as financial assets at fair value through other comprehensive income. As at March 31, 2022, December 31, 2021, and March 31, 2021, the fair value of such investments were the same as the book value.

B. Amounts recognised in profit or loss and other comprehensive income in relation to the financial assets at fair value through other comprehensive income are listed below:

	Three months ended March 31,	
	2022	2021
Equity instruments at fair value through other comprehensive income		
Fair value change recognised in other comprehensive income	$ -	$ -

C. Information relating to the change of eBio International Co., Ltd. is provided in Note 6(7).

D. The Group had no financial assets at fair value through other comprehensive income pledged to others as collateral.

(4) Financial assets at amortised cost

Items	March 31, 2022	December 31, 2021	March 31, 2021
Current items:			
Restricted assets	$ 12,705	$ 11,737	$ 141,140
Time deposits with original maturity period of more than three months	164,784	244,735	268,027
	$ 177,489	$ 256,472	$ 409,167
Non-current items:			
Restricted assets	$ 384	$ 371	$ -

A. Amounts recognised in profit or loss in relation to financial assets at amortised cost are listed below:

	Three months ended March 31,	
	2022	2021
Interest income	$ 1,470	$ 3,836

B. As at March 31, 2022, December 31, 2021, and March 31, 2021, without taking into account any collateral held or other credit enhancements, the maximum exposure to credit risk in respect of the amount that best represents the financial assets at amortised cost held by the Group was the book value at the balance sheet date.

C. Details of the Group’s financial assets at amortised cost pledged to others as collateral are provided in Note 8.

D. The counterparties of the Group’s investments in certificates of deposits are financial institutions with high credit quality, so the Group expects that the probability of counterparty default is remote.

(5) Notes and accounts receivable

	March 31, 2022	December 31, 2021	March 31, 2021
Notes receivable	$ 15,872	$ 24,078	$ 9,336
Accounts receivable	$ 1,166,290	$ 1,155,000	$ 1,102,744
Less: Allowance for uncollectible accounts	-	(74)	(2,555)
	$ 1,166,290	$ 1,154,926	$ 1,100,189

A. As at March 31, 2022, December 31, 2021, and March 31, 2021, notes receivable and accounts receivable were all from contracts with customers. As at January 1, 2021, the balance of receivables from contracts with customers amounted to $1,130,311.

B. The ageing analysis of notes receivable and accounts receivable that were past due but not impaired is as follows:

	March 31, 2022	
	Notes receivable	Accounts receivable
Not past due	$ 15,872	$ 1,150,749
Up to 90 days	-	15,541
	$ 15,872	$ 1,166,290

	December 31, 2021		March 31, 2021	
	Notes receivable	Accounts receivable	Notes receivable	Accounts receivable
Not past due	$ 24,078	$ 1,139,054	$ 9,336	$ 1,070,364
Up to 90 days	-	15,872	-	24,797
Over 91 days	-	74	-	7,583
	$ 24,078	$ 1,155,000	$ 9,336	$ 1,102,744

The above ageing analysis was based on past due date.

C. As at March 31, 2022, December 31, 2021, and March 31, 2021, without taking into account any collateral held or other credit enhancements, the maximum exposure to credit risk in respect of the amount that best represents the Group’s notes and accounts receivable were the book value at the end of balance sheet date.

D. Information relating to credit risk of notes receivable and accounts receivable is provided in Note 12(2).

(6) Inventories

	March 31, 2022	December 31, 2021	March 31, 2021
Raw materials	$ 111,261	$ 101,772	$ 100,375
Work in progress	56,969	38,479	63,509
Finished goods	162,451	194,334	151,054
	330,681	334,585	314,938
Less: Allowance for valuation loss	(45,751)	(35,811)	(30,806)
	$ 284,930	$ 298,774	$ 284,132

The cost of inventories recognised as expense for the period:

	Three months ended March 31,	
	2022	2021
Cost of inventories sold	$ 771,344	$ 739,287
Loss on decline in market value	8,886	11,444
Loss on disposal of inventory	4,861	3,685
Revenue from sale of scraps	(23,143)	(16,704)
	$ 761,948	$ 737,712

(7) Investments accounted for under equity method

	2022	2021
At January 1	$ -	$ -
Addition of investments accounted for under equity method	11,700	-
Share of loss of investments accounted for under equity method	(185)	-
At March 31	$ 11,515	$ -

	March 31, 2022	March 31, 2021
Associates		
eBio International Co., Ltd.	$ 11,515	$ -

During the three months ended March 31, 2022, the investment under the equity method increased as a result of the board election on February 14, 2022 and the Group obtained a seat on the board of eBio International Co., Ltd. As a result of the election, the Group hereafter has significant influence over eBio International Co., Ltd, therefore, the investment account was transferred from the financial assets at fair value through other comprehensive income to investments under the equity method.

(8) Property, plant and equipment

	2022								
	Land	Buildings and structures	Machinery and equipment	Transportation equipment	Office equipment	Leasehold improvements	Other equipment	Construction in progress	Total
At January 1									
Cost	$313,143	$ 897,491	$ 934,963	$ 21,443	$ 10,850	$ 13,533	$ 142,503	$ 167,384	$2,501,310
Accumulated depreciation	-	(445,745)	(766,640)	(18,881)	(9,534)	(10,094)	(130,289)	-	(1,381,183)
Accumulated impairment	-	(14,674)	(4,038)	-	-	-	-	-	(18,712)
	$313,143	$ 437,072	$ 164,285	$ 2,562	$ 1,316	$ 3,439	$ 12,214	$ 167,384	$1,101,415
Opening net book amount as at January 1	$313,143	$ 437,072	$ 164,285	$ 2,562	$ 1,316	$ 3,439	$ 12,214	$ 167,384	$1,101,415
Additions	-	1,363	2,126	-	761	662	6,096	37,774	48,782
Depreciation charge	-	(11,889)	(15,332)	(400)	(279)	(327)	(2,294)	-	(30,521)
Net exchange differences	-	7,457	1,994	87	1	1	381	6,941	16,862
Closing net book amount as at March 31	$313,143	$ 434,003	$ 153,073	$ 2,249	$ 1,799	$ 3,775	$ 16,397	$ 212,099	$1,136,538
At March 31									
Cost	$313,143	$ 911,147	$ 960,973	$ 22,073	$ 11,732	$ 14,196	$ 150,693	$ 212,099	$2,596,056
Accumulated depreciation	-	(462,470)	(803,853)	(19,824)	(9,933)	(10,421)	(134,296)	-	(1,440,797)
Accumulated impairment	-	(14,674)	(4,047)	-	-	-	-	-	(18,721)
	$313,143	$ 434,003	$ 153,073	$ 2,249	$ 1,799	$ 3,775	$ 16,397	$ 212,099	$1,136,538

	2021								
	Land	Buildings and structures	Machinery and equipment	Transportation equipment	Office equipment	Leasehold improvements	Other equipment	Construction in progress	Total
At January 1									
Cost	$152,000	$ 1,051,402	$ 1,001,225	$ 19,382	$ 14,878	$ 12,531	$ 136,263	$ 17,675	$2,405,356
Accumulated depreciation	-	(502,993)	(772,533)	(17,968)	(12,988)	(8,813)	(124,584)	-	(1,439,879)
Accumulated impairment	-	(14,674)	(4,136)	-	-	-	-	-	(18,810)
	$152,000	$ 533,735	$ 224,556	$ 1,414	$ 1,890	$ 3,718	$ 11,679	$ 17,675	$ 946,667
Opening net book amount as at January 1	$152,000	$ 533,735	$ 224,556	$ 1,414	$ 1,890	$ 3,718	$ 11,679	$ 17,675	$ 946,667
Additions	-	-	1,199	2,293	-	-	1,221	135,945	140,658
Disposal of subsidiaries	-	(70,780)	(82)	-	327	-	(344)	-	(70,879)
Depreciation charge	-	(11,973)	(18,892)	(402)	(251)	(320)	(1,903)	-	(33,741)
Net exchange differences	-	(678)	(1,281)	(21)	(2)	-	(33)	245	(1,770)
Closing net book amount as at March 31	$152,000	$ 450,304	$ 205,500	$ 3,284	$ 1,964	$ 3,398	$ 10,620	$ 153,865	$ 980,935
At March 31									
Cost	$152,000	$ 876,597	$ 979,135	$ 21,583	$ 10,215	$ 12,531	$ 138,354	$ 153,865	$2,344,280
Accumulated depreciation	-	(411,619)	(769,499)	(18,299)	(8,251)	(9,133)	(127,734)	-	(1,344,535)
Accumulated impairment	-	(14,674)	(4,136)	-	-	-	-	-	(18,810)
	$152,000	$ 450,304	$ 205,500	$ 3,284	$ 1,964	$ 3,398	$ 10,620	$ 153,865	$ 980,935

A. Amount of borrowing costs capitalised as part of property, plant and equipment and the range of the interest rates for such capitalization: None.

B. The significant components of buildings and structures include main plants and engineering systems, which are depreciated over 15~36 years and 3~8 years, respectively.

C. As a result of product transformation, it is estimated that part of the property, plant, and equipment used in the production of the abovementioned product had a recoverable amount less than their book value; therefore, relevant impairment losses were recognised in the period in which the event or condition that triggers those impairment occurred.

D. Information about the property, plant and equipment that were pledged to others as collateral is provided in Note 8.

(9) Leasing arrangements－lessee

A. The Group leases various assets including land, buildings, business vehicles, multifunction printers. Rental contracts for land are typically made for periods of 46 to 50 years, the others are made for periods of 1 to 3 years. Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions. The lease agreements do not impose covenants, but leased assets may not be used as security for borrowing purposes.

B. Short-term leases with a lease term of 12 months or less comprise leasing of warehouse, office, and business vehicles. Low-value assets comprise leasing of multifunction printers. The abovementioned leases were excluded from right-of-use assets.

C. The carrying amount of right-of-use assets and the depreciation charge are as follows:

	March 31, 2022	December 31, 2021	March 31, 2021
	Carrying amount	Carrying amount	Carrying amount
Land	$ 72,956	$ 70,804	$ 194,802
Buildings	22,301	34,948	36,912
Business vehicles	4,755	4,850	861
Multifunction printers	-	-	108
	$ 100,012	$ 110,602	$ 232,683

	Three months ended March 31,	
	2022	2021
	Depreciation charge	Depreciation charge
Land	$ 416	$ 514
Buildings	6,740	5,384
Business vehicles	307	81
Multifunction printers	-	81
	$ 7,463	$ 6,060

D. For the three months ended March 31, 2022 and 2021, the additions to right-of-use assets were $733 and $6,260, respectively.

E. The information on profit and loss accounts relating to lease contracts is as follows:

	Three months ended March 31,	
	2022	2021
Items affecting profit or loss		
Interest expense on lease liabilities	$ 330	$ 648
Expense on short-term lease contracts	2,395	1,780
Expense on leases of low-value assets	16	14
Expense on variable lease payments	15	6
Gain on lease modification	211	-

F. For the three months ended March 31, 2022 and 2021, the Group's total cash outflow for leases were $9,686 and $106,709, respectively.

G. Variable lease payments

Some of the Group's lease contracts contain variable lease payment terms that are linked to distance and hours which were used. Various lease payments that depend on distance and hours are recognised in profit or loss in the period in which the event or condition that triggers those payments occurs.

H. The Group leased land from the Tainan Science and Technology Industrial Park for business use. On December 21, 2020, the Company's board of directors resolved to apply for permit from the Tainan Science and Technology Industrial Park to use the land for science and technology industry factory. In the first quarter of 2021, the Group obtained the approval letter from the Tainan Science and Technology Park and paid the remaining lease payments amounting to $93,480. In May 2021, the land use rights were transferred to the Group, and the right-of-use assets were transferred to property, plant and equipment.

(10) Short-term borrowings

Type of borrowings	March 31, 2022	Interest rate range	Collateral
Bank borrowings			
Secured borrowings	$ 20,000	1.20%	Financial assets at amortised cost - current
Unsecured borrowings	160,000	1.16%～1.35%	None
	$ 180,000		

Type of borrowings	December 31, 2021	Interest rate range	Collateral
Bank borrowings			
Secured borrowings	$ 35,000	1.15%～1.20%	Financial assets at amortised cost - current
Unsecured borrowings	260,000	1.10%～1.20%	None
	$ 295,000		

Type of borrowings		March 31, 2021	Interest rate range	Collateral
Bank borrowings				
Secured borrowings	$	120,000	0.93%～1.25%	Financial assets at amortised cost - current
Unsecured borrowings		920,000	1.05%～1.25%	None
	$	1,040,000		

(11) Accounts payable

		March 31, 2022		December 31, 2021		March 31, 2021
Accounts payable	$	428,891	$	526,740	$	509,553
Estimated accounts payable		64,517		62,748		78,480
	$	493,408	$	589,488	$	588,033

(12) Other payables

		March 31, 2022		December 31, 2021		March 31, 2021
Insurance payable	$	76,551	$	71,941	$	68,333
Salaries and bonus payable		65,354		114,036		76,240
Mold cost payable		29,733		54,959		41,011
Employees' compensation and directors' remuneration payable		25,746		25,746		35,673
Equipment payable		21,057		6,426		2,850
Repairs and maintenance payable		13,008		12,529		6,167
Freights charges payable		9,706		10,019		8,660
Packing payable		9,123		11,414		9,382
Consumption fee payable		5,593		5,214		2,427
Construction payable		698		643		15,060
Interest payable		225		354		721
Others		44,806		37,954		26,618
	$	301,600	$	351,235	$	293,142

(13) Long-term borrowings

Type of borrowings	Borrowing period and repayment term	Interest rate	Collateral	March 31, 2022
Installment-repayment borrowings				
Secured borrowings				
CTBC Bank Co., Ltd.	Borrowing period is from June 24, 2020 to June 28, 2024; principal is payable in 13 semi-annual intallments one year after the drawdown; interest is payable monthly.	1.22%	Land and buildings	$ 122,800
CTBC Bank Co., Ltd.	Borrowing period is from September 7, 2018 to September 7, 2022; principal is payable in 7 semi-annual intallments one year after the drawdown; interest is payable monthly.	1.22%	Machinery and equipment	14,286
E. SUN Commercial Bank, Ltd.	Borrowing period is from Dec. 28, 2021 to Dec. 28, 2028; the grace period is 1 year, after which the principal is payable in 24 quarterly installments; interest is payable monthly.	1.05%	Land and buildings	263,000
E. SUN Commercial Bank, Ltd.	Borrowing period is from Dec. 28, 2021 to Dec. 28, 2028; the grace period is 1 year, after which the principal is payable in 24 quarterly installments; interest is payable monthly.	1.05%	Land and buildings	37,000

Type of borrowings	Borrowing period and repayment term	Interest rate	Collateral	March 31, 2022
Unsecured borrowings				
O-Bank Co., Ltd	Borrowing period is from April 6, 2021 to March 1, 2028; the grace period is 3 years, after which the principal is payable in 9 semi-annual installments; interest is payable monthly.	1.46%	None	58,000
				495,086
Less: Current portion				(38,586)
				$ 456,500

Type of borrowings	Borrowing period and repayment term	Interest rate	Collateral	December 31, 2021
Installment-repayment borrowings				
Secured borrowings				
CTBC Bank Co., Ltd.	Borrowing period is from June 24, 2020 to June 28, 2024; principal is payable in 13 semi-annual installments one year after the drawdown; interest is payable monthly.	1.22%	Land and buildings	$ 122,800
CTBC Bank Co., Ltd.	Borrowing period is from September 7, 2018 to September 7, 2022; principal is payable in 7 semi-annual installments one year after the drawdown; interest is payable monthly.	1.22%	Machinery and equipment	28,571

Type of borrowings	Borrowing period and repayment term	Interest rate	Collateral	December 31, 2021
Secured borrowings				
E. SUN Commercial Bank, Ltd.	Borrowing period is from Dec. 28, 2021 to Dec. 28, 2028; the grace period is 1 year, after which the principal is payable in 24 quarterly installments; interest is payable monthly.	1.05%	Land and buildings	263,000
E. SUN Commercial Bank, Ltd.	Borrowing period is from Dec. 28, 2021 to Dec. 28, 2028; the grace period is 1 year, after which the principal is payable in 24 quarterly installments; interest is payable monthly.	1.05%	Land and buildings	37,000
Unsecured borrowings				
O-Bank Co., Ltd	Borrowing period is from April 6, 2021 to March 1, 2028; the grace period is 3 years, after which the principal is payable in 9 semi-annual installments; interest is payable monthly.	1.19%	None	58,000
				509,371
Less: Current portion				(40,371)
				$ 469,000

Type of borrowings	Borrowing period and repayment term	Interest rate	Collateral	March 31, 2021	
Installment-repayment borrowings					
Secured borrowings					
E. SUN Commercial Bank, Ltd.	Borrowing period is from May 23, 2017 to May 23, 2023; the grace period is 1 year, after which the principal is payable quarterly; interest is payable monthly. (Note)	1.08%	Land and buildings	$	45,000
CTBC Bank Co., Ltd.	Borrowing period is from June 24, 2020 to June 28, 2024; principal is payable in 13 semi-annual installments one year after the drawdown; interest is payable monthly.	1.25%	Land and buildings		134,600
CTBC Bank Co., Ltd.	Borrowing period is from September 7, 2018 to September 7, 2022; principal is payable in 7 semi-annual installments one year after the drawdown; interest is payable monthly.	1.25%	Machinery and equipment		42,857
					222,457
Less: Current portion				(	60,371)
				$	162,086

Note: The bank borrowings had been fully repaid on November 18, 2021.

(14) Pensions

A. (a) The Company has a defined benefit pension plan in accordance with the Labor Standards Law, covering all regular employees' service years prior to the enforcement of the Labor Pension Act on July 1, 2005 and service years thereafter of employees who chose to continue to be subject to the pension mechanism under the Law. Under the defined benefit pension plan, two units are accrued for each year of service for the first 15 years and one unit for each additional year thereafter, subject to a maximum of 45 units. Pension benefits are based on the number of units accrued and the average monthly salaries and wages of the last 6 months prior to retirement. The Company contributes monthly an amount equal to 2% of the employees' monthly salaries and wages to the retirement fund deposited with Bank of Taiwan, the trustee, under the name of the independent retirement fund committee. Also, the Company would assess the balance in the aforementioned labor pension reserve account by the end of December 31, every year. If the account balance is insufficient to pay the pension calculated by the aforementioned method to the employees expected to qualify for retirement in the following year, the Company will make contributions for the deficit by next March.

(b) For the aforementioned pension plan, the Group recognised pension costs of ($13) and ($10) for the three months ended March 31, 2022 and 2021, respectively.

(c) The Company has acquired the approval from the Hsinchu County Government to suspend continuous contribution to the defined benefit pension plan for 2022.

B. (a) Effective July 1, 2005, the Company and its domestic subsidiaries have established a defined contribution pension plan (the "New Plan") under the Labor Pension Act (the "Act"), covering all regular employees with R.O.C. nationality. Under the New Plan, the Company and its domestic subsidiaries contribute monthly an amount based on 6% of the employees' monthly salaries and wages to the employees' individual pension accounts at the Bureau of Labor Insurance. The benefits accrued are paid monthly or in lump sum upon termination of employment.

(b) The Company's mainland China subsidiaries have a defined contribution plan. Monthly contributions to an independent fund administered by the government in accordance with the pension regulations in the People's Republic of China (PRC) are based on certain percentage of employees' monthly salaries and wages. The contribution for each employee was planned by PRC government. Other than the monthly contributions, the Group has no further obligations.

(c) The pension costs under the defined contribution pension plans of the Group for the three months ended March 31, 2022 and 2021 were $7,963 and $7,252, respectively.

(15) Share capital

As of March 31, 2022, the Company's authorised capital was $2,000,000, consisting of 200,000 thousand shares of ordinary stock, and the paid-in capital was $892,631 with a par value of $10 (in dollars) per share. All proceeds from shares issued have been collected.

Movements in the number of the Company's ordinary shares outstanding are as follows:

	2022	2021
At January 1 (Same as March 31)	89,263	89,263

(16) Capital surplus

Pursuant to the R.O.C. Company Act, capital surplus arising from paid-in capital in excess of par value on issuance of common stocks and donations can be used to cover accumulated deficit or to issue new stocks or cash to shareholders in proportion to their share ownership, provided that the Company has no accumulated deficit. Further, the R.O.C. Securities and Exchange Act requires that the amount of capital surplus to be capitalised mentioned above should not exceed 10% of the paid-in capital each year. Capital surplus should not be used to cover accumulated deficit unless the legal reserve is insufficient.

The appropriation of capital surplus amounting to $107,116 ($1.2 per share) had been resolved at the annual shareholders' meeting on July 16, 2021.

	March 31, 2022	December 31, 2021	March 31, 2021
Share premium	$ 1,612,472	$ 1,612,472	$ 1,719,588
From business combinations	31,797	31,797	31,797
Treasury share transactions	76,571	76,571	76,571
Changes in ownership interests in subsidiaries	7,906	7,906	7,852
	$ 1,728,746	$ 1,728,746	$ 1,835,808

(17) Retained earnings

A. Under the Company's Articles of Incorporation, the current year's earnings, if any, shall first be used to pay all taxes and offset prior years' operating losses, set aside 10% of the remaining amount as legal reserve, then set aside or reverse a special reserve according to relevant regulations when necessary. The remainder, if any, to be retained or to be appropriated shall be proposed by the Board of Directors and resolved by the shareholders at the shareholders' meeting.

B. The Company's dividend policy is summarised below: as the Company is in the stable growth stage, the residual dividend policy is adopted taking into consideration the Company's future capital expenditure plans and the financial structure. According to the dividend policy adopted by the Board of Directors, at least 1% of the Company's distributable earnings as of the end of the period shall be appropriated as cash or stock dividends, of which not more than 60% shall be paid in stock.

C. Except for covering accumulated deficit or issuing new stocks or cash to shareholders in proportion to their share ownership, the legal reserve shall not be used for any other purpose. The use of legal reserve for the issuance of stocks or cash to shareholders in proportion to their share ownership is permitted, provided that the distribution of the reserve is limited to the portion in excess of 25% of the Company's paid-in capital.

D. Special reserve

(a) In accordance with the regulations, the Company shall set aside special reserve from the debit balance on other equity items at the balance sheet date before distributing earnings. When debit balance on other equity items is reversed subsequently, the reversed amount could be included in the distributable earnings.

(b) The amounts previously set aside by the Company as special reserve on initial application of IFRSs in accordance with Order No. Financial-Supervisory-Securities-Corporate-1010012865, dated April 6, 2012, shall be reversed proportionately when the relevant assets are used, disposed of or reclassified subsequently.

E. The 2020 deficit compensation was resolved at the annual shareholders' meeting on July 16, 2021, as a result, there was no earnings to be distributed.

The appropriations of 2021 earnings had been proposed at the Board of Directors' meeting on February 25, 2022. Details are summarized below:

	2021			
	Amount		Dividends per share (in dollars)	
Legal reserve	$	17,765		
Special reserve		38,101		
Cash dividends		107,116	$	1.20

As of May 6, 2022, the aforementioned appropriations of 2021 earnings have not yet been resolved at the shareholders' meeting.

(18) Other equity items

	March 31, 2022					
	Unrealised gains (losses) on valuation		Currency translation		Total	
At January 1	($	28,200)	($	395,093)	($	423,293)
Revaluation – gross		-		-		-
Currency translation differences:						
–Group		-		97,115		97,115
At March 31	($	28,200)	($	297,978)	($	326,178)

	March 31, 2021					
	Unrealised gains (losses) on valuation		Currency translation		Total	
At January 1	($	19,310)	($	365,882)	($	385,192)
Revaluation – gross		-		-		-
Currency translation differences:						
–Group		-	(	16,718)	(	16,718)
At March 31	($	19,310)	($	382,600)	($	401,910)

(19) Operating revenue

	Three months ended March 31,			
	2022		2021	
Revenue from contracts with customers	$	826,223	$	823,990

A. Disaggregation of revenue from contracts with customers

The Group derives revenue from the transfer of goods at a point in time in the following geographical regions:

Three months ended March 31, 2022	Domestic	Asia	Total
Total segment revenue	$ 273,995	$ 556,159	$ 830,154
Inter-segment revenue	(1,436)	(2,495)	(3,931)
Revenue from external customer contracts	$ 272,559	$ 553,664	$ 826,223
Timing of revenue recognition			
At a point in time	$ 272,559	$ 553,664	$ 826,223

Three months ended March 31, 2021	Domestic	Asia	Total
Total segment revenue	$ 314,770	$ 513,549	$ 828,319
Inter-segment revenue	(1,529)	(2,800)	(4,329)
Revenue from external customer contracts	$ 313,241	$ 510,749	$ 823,990
Timing of revenue recognition			
At a point in time	$ 313,241	$ 510,749	$ 823,990

B. Contract liabilities

The Group has recognised the following revenue-related contract liabilities:

	March 31, 2022	December 31, 2021	March 31, 2021	January 1, 2021
Contract liabilities:	$ 6,676	$ 502	$ 483	$ 911

Revenue recognised that was included in the contract liability balance at the beginning of the period is summarised below:

	Three months ended March 31,	
	2022	2021
Revenue recognised that was included in the contract liability balance at the beginning of the period	$ 279	$ 583

(20) Interest income

	Three months ended March 31,	
	2022	2021
Interest income from bank deposits	$ 3,963	$ 2,972
Interest income from financial assets at amortised cost	1,470	3,836
Other interest income	51	7
	$ 5,484	$ 6,815

(21) Other income

	Three months ended March 31,	
	2022	2021
Government grants	$ -	$ 5,252
Other income	1,706	2,482
	$ 1,706	$ 7,734

(22) Other gains and losses

	Three months ended March 31,	
	2022	2021
Gain on disposal of investments	$ -	$ 221,431
Gain on lease modification	211	-
Gain (loss) on financial assets and liabilities at fair value through profit or loss	4,903	(2,211)
Foreign exchange (losses) gains	(1,250)	3,134
Miscellaneous disbursements	(4,047)	(545)
	($ 183)	$ 221,809

(23) Finance costs

	Three months ended March 31,	
	2022	2021
Interest expense from bank borrowings	$ 2,205	$ 3,970
Interest expense from lease liabilities	330	648
	$ 2,535	$ 4,618

(24) Expenses by nature

	Three months ended March 31,	
	2022	2021
Employee benefit expense	$ 190,572	$ 210,512
Depreciation charges on property, plant and equipment	30,521	33,741
Depreciation charges on right-of-use assets	7,463	6,060
Amortisation charges on molds	3,203	7,195

(25) Employee benefit expense

	Three months ended March 31,	
	2022	2021
Wages and salaries	$ 161,659	$ 183,283
Labour and health insurance fees	11,817	11,345
Pension costs	7,950	7,242
Other personnel expenses	9,146	8,642
	$ 190,572	$ 210,512

A. In accordance with the Articles of Incorporation of the Company, a ratio of profit before tax, before the distribution of employees' compensation and directors' remuneration, of the current year, after covering accumulated losses, shall be distributed as employees 'compensation and directors' remuneration. The ratio shall not be lower than 8% for employees' compensation and shall not be higher than 3% for directors' remuneration. Employees' compensation may be paid in the form of shares or in cash, and employees from affiliated companies who meet certain conditions are entitled to the distribution.

B. For the three months ended March 31, 2022 and 2021, employees' compensation was accrued at $0 and $15,771, respectively; directors' remuneration was accrued at $0 and $4,731, respectively. The aforementioned amounts were recognised in salary expenses.

For the three months ended March 31, 2022, the Company had a net loss before income tax, therefore, the Company did not accrue employees' compensation and directors' remuneration at the end of reporting period.

Employees' compensation and directors' remuneration for 2021 as resolved by the Board of Directors were in agreement with the amounts recognised in the 2021 financial statements. As of March 31, 2022, the employees' compensation and directors' and supervisors' remuneration for 2021 has not been distributed.

Information about employees' compensation and directors' remuneration of the Company as resolved at the meeting of Board of Directors will be posted in the "Market Observation Post System" at the website of the Taiwan Stock Exchange.

(26) Income tax

A. Income tax expense

Components of income tax expense:

	Three months ended March 31,	
	2022	2021
Current tax:		
Current tax on profits for the period	$ 10,067	$ 52,453
Prior year income tax over estimation	(385)	(188)
Total current tax	9,682	52,265
Deferred tax:		
Origination and reversal of temporary differences	2,171	(4,147)
Income tax expense	$ 11,853	$ 48,118

B. The Company's income tax returns through 2019 have been assessed and approved by the Tax Authority. LEGIUN's income tax returns through 2020 have been assessed and approved by the Tax Authority.

(27) (Loss) earnings per share

	Three months ended March 31, 2022		
	Loss for the period	Weighted average number of ordinary shares outstanding (shares in thousands)	Loss per share (in dollars)
Basic and diluted loss per share			
Loss attributable to the parent	($ 39,386)	89,263	($ 0.44)

	Three months ended March 31, 2021		
	Profit for the period	Weighted average number of ordinary shares outstanding (shares in thousands)	Earnings per share (in dollars)
Basic earnings per share			
Profit attributable to the parent	$ 139,402	89,263	$ 1.56
Diluted earnings per share			
Profit attributable to the parent	$ 139,402	89,263	
Assumed conversion of all dilutive potential ordinary shares -Employees' compensation	-	515	
	$ 139,402	89,778	$ 1.55

(28) Transactions with non-controlling interest

A. The Group did not participate in the capital increase raised by a subsidiary proportionally to its interest to the subsidiary

Subsidiary PIH of the Group increased its capital by issuing new shares in March 2021. The Group did not acquire shares proportionally to its interest. As a result, the Group increased its share interest by 1.55%. The transaction increased non-controlling interest by $60,435 and decreased the equity attributable to owners of parent by $35. The effect of changes in interests in PIH on the equity attributable to owners of the parent for the three months ended March 31, 2021 is shown below:

	Three months ended March 31, 2021
Cash	$ 60,400
Interest in the carrying amount of non-controlling interest acquired	(60,435)
Capital surplus - recognition of changes in ownership interest in subsidiary	($ 35)

B. The Group did not conduct any transaction with non-controlling interest in the three months ended March 31, 2022.

(29) Supplemental cash flow information

A. Investing activities with partial cash payments

	Three months ended March 31, 2022	Three months ended March 31, 2021
Purchase of property, plant and equipment	$ 48,782	$ 140,658
Add: Opening balance of payable on equipment	6,426	3,369
Opening balance of payable on construction	643	-
Less: Ending balance of payable on equipment	(21,057)	(2,850)
Ending balance of payable on construction	(698)	(15,060)
Cash paid during this period	$ 34,096	$ 126,117

B. The Group sold 100% of shares in the subsidiary – FOSHAN ZHENXUAN on January 21, 2021 and therefore lost control over the subsidiary (refer to Note 4(3)B. Note 1). The details of the consideration received from the transaction (including cash and cash equivalent) and assets and liabilities relating to the subsidiary are as follows:

	January 21, 2021
Consideration received	
Cash and cash equivalents	$ 768,263
Proceeds receivable	20,626
Total consideration	788,889
Carrying amount of the assets and liabilities of the subsidiary	
Cash and cash equivalents	425,451
Accounts receivable	13,377
Other current assets	1,979
Property, plant and equipment	70,879
Guarantee deposits paid	7,399
Deferred tax assets	880
Right-of-use assets	32,651
Other non-current assets	22,675
Accounts payable	(303)
Other payables	(7,622)
Other current liabilities	(1,944)
Guarantee deposits received	(2,444)
Total net assets	$ 562,978

(30) Changes in liabilities from financing activities

	2022				
	Short-term borrowings	Long-term borrowings	Lease liabilities	Guarantee deposit received	Liabilities from financing activities-gross
At January 1	$ 295,000	$ 509,371	$ 40,564	$ 902	$ 845,837
Changes in cash flow from financing activities	(115,000)	(14,285)	(7,260)	-	(136,545)
Changes in other non-cash items	-	-	(11,143)	5	(11,138)
At March 31	$ 180,000	$ 495,086	$ 22,161	$ 907	$ 698,154

	2021				
	Short-term borrowings	Long-term borrowings	Lease liabilities	Guarantee deposit received	Liabilities from financing activities-gross
At January 1	$1,098,000	$ 241,743	$144,752	$ 3,134	$ 1,487,629
Changes in cash flow from financing activities	(58,000)	(19,286)	(104,909)	13	(182,182)
Changes in other non-cash items	-	-	(1,240)	-	(1,240)
Changes in loss of control in subsidiaries	-	-	-	(2,444)	(2,444)
At March 31	$1,040,000	$ 222,457	$ 38,603	$ 703	$ 1,301,763

7. Related Party Transactions

(1) Names of related parties and relationship

Names of related parties	Relationship with the Company
eBio Technology Inc.	Other related party (From February 14, 2022) (Note)

Note: Information relating to other related parties is provided in Note 6(7).

A. Operating revenue:

	Three months ended March 31,	
	2022	2021
Sales of goods:		
Other related parties	$ 630	$ -

There is no significant difference between the sales price and credit terms from the non-related parties.

B. Receivables from related parties:

	March 31, 2022	March 31, 2021
Accounts receivable:		
Other related parties	$ 2,401	$ -

(2) Key management compensation

	Three months ended March 31,	
	2022	2021
Salaries and other short-term employee benefits	$ 4,588	$ 10,865
Post-employment benefits	144	141
	$ 4,732	$ 11,006

8. Pledged Assets

The Group's assets pledged as collateral are as follows:

	Book value			
Pledged asset	March 31, 2022	December 31, 2021	March 31, 2021	Purpose
Financial assets at amortised cost - current	$ 12,705	$ 11,737	$ 141,140	Bank secured borrowings and customs guarantee
Financial assets at amortised cost - non-current	384	371	-	Bank guarantee
Property, plant, and equipment				
Land	273,059	273,059	152,000	Bank secured borrowings
Buildings and structures	169,524	172,850	176,155	Bank secured borrowings
Machinery and equipment	70,325	78,339	108,344	Bank secured borrowings
Other non-current assets				
Guarantee deposits paid	9,761	7,098	4,883	Rental deposit

9. Significant Contingent Liabilities and Unrecognised Contract Commitments

Commitments

(1) The Group has signed a 5-year production and sales contract with a customer in December 2016 to provide the customer with a steady supply of a certain quantity of household metal products that meet the quality requirements every year from 2018 to 2022.

(2) As of March 31, 2022, the Group had opened unused letters of credit for importing inventories and equipment of $41,678.

10. Significant Disaster Loss

None.

11. Significant Events after the Balance Sheet Date

On April 15, 2022, the Company's Board of Directors had resolved to the issuance of new common shares in private placement or issue domestic or overseas convertible bonds in private placement.

12. Others

(1) Capital management

The Group's objectives when managing capital are to safeguard the Group's ability to continue as a going concern in order to provide returns for shareholders and to maintain an optimal capital structure to reduce the cost of capital. The capital structure of the Group consists of net debt (borrowings offset by cash and cash equivalents) and equity attributable to owners of the Group (comprising issued capital, reserves, retained earnings and other equity). The Group is not subject to any externally imposed capital requirements.

(2) Financial instruments

A. Financial instruments by category

	March 31, 2022	December 31, 2021	March 31, 2021
Financial assets			
Financial assets mandatorily measured at fair value through profit or loss	$ 7,331	$ 13,657	$ 5,215
Financial assets at fair value through other comprehensive income	2,862	14,468	11,744
Financial assets at amortised cost			
Cash and cash equivalents	1,644,291	1,783,667	2,356,181
Financial assets at amortised cost (current and non-current)	177,873	256,843	409,167
Notes receivable, net	15,872	24,078	9,336
Accounts receivable, net	1,166,290	1,154,926	1,100,189
Accounts receivable-related party	2,401	-	-
Other receivables	134,588	146,036	141,109
Guarantee deposits paid	9,761	7,098	4,883
	$ 3,161,269	$ 3,400,773	$ 4,037,824
Financial liabilities			
Short-term borrowings	$ 180,000	$ 295,000	$ 1,040,000
Notes payable	2,992	-	-
Accounts payable	493,408	589,488	588,033
Other payables	301,600	351,235	293,142
Long-term borrowings (including current portion)	495,086	509,371	222,457
Guarantee deposits received	907	902	703
	$ 1,473,993	$ 1,745,996	$ 2,144,335
Lease liabilities (current and non-current)	$ 22,161	$ 40,564	$ 38,603

B. Financial risk management policies

(a) The Group’s major financial instruments included equity investments, accounts receivable, accounts payable, and bank borrowings. The Group’s Corporate Treasury function provides services to the business, coordinates access to domestic and international financial markets, monitors and manages the financial risks relating to the operations of the Group through internal risk reports which analyze exposures by degree and magnitude of risks. These risks include market risk (including currency risk and interest rate risk), credit risk and liquidity risk.

(b) The Group sought to minimize the effects of these risks by using derivative financial instruments to hedge risk exposures. The use of financial derivatives was governed by the Group's policies approved by the board of directors, which provided written principles on foreign exchange risk, interest rate risk, credit risk, the use of financial derivatives and non-derivative financial instruments, and the investment of excess liquidity. Compliance with policies and exposure limits was reviewed by the internal auditors on a continuous basis. The Group did not enter into or trade financial instruments, including derivative financial instruments, for speculative purposes.

C. Significant financial risks and degrees of financial risks

(a) Market risk

Foreign exchange risk

i. The Group engages in sales and purchases denominated in foreign currencies and are exposed to exchange rate fluctuations. The Group manages exchange rate risks within the scope permitted by the policy, using forward foreign exchange contracts to manage risks.

ii. The Group's businesses involve some non-functional currency operations (the Company's and domestic subsidiaries' functional currency: NTD; other certain subsidiaries' functional currency: RMB, USD, and VND). The information on assets and liabilities denominated in foreign currencies whose values would be materially affected by the exchange rate fluctuations is as follows:

	March 31, 2022		
	Foreign currency amount (In thousands)	Exchange rate	Book value (NTD)
(Foreign currency: functional currency)			
Financial assets			
Monetary items			
USD:NTD	$ 3,848	28.6250	$ 110,149
USD:RMB	22,250	6.3482	636,906
USD:VND	1,375	23,100	39,359
Financial liabilities			
Monetary items			
USD:NTD	$ 622	28.6250	$ 17,805
USD:RMB	3,807	6.3482	108,975

	December 31, 2021				
	Foreign currency amount (In thousands)		Exchange rate		Book value (NTD)
(Foreign currency: functional currency)					
Financial assets					
Monetary items					
USD:NTD	$	4,250	27.6800	$	117,640
USD:RMB		27,764	6.3757		768,508
USD:VND		1,837	23,145		50,848
Financial liabilities					
Monetary items					
USD:NTD	$	460	27.6800	$	12,733
USD:RMB		5,954	6.3757		164,807

	March 31, 2021				
	Foreign currency amount (In thousands)		Exchange rate		Book value (NTD)
(Foreign currency: functional currency)					
Financial assets					
Monetary items					
USD:NTD	$	5,575	28.5350	$	159,083
USD:RMB		25,759	6.5713		735,033
USD:VND		2,031	23,244		57,955
Financial liabilities					
Monetary items					
USD:NTD	$	1,042	28.5350	$	29,733
USD:RMB		4,827	6.5713		137,738

iii. Total exchange gain (loss), including realised and unrealised, arising from significant foreign exchange variation on the monetary items held by the Group for the three months ended March 31, 2022 and 2021, amounted to ($1,250) and $3,134, respectively.

iv. Analysis of foreign currency market risk arising from significant foreign exchange variation:

	Three months ended March 31, 2022		
	Sensitivity analysis		
	Degree of variation	Effect on profit or loss	Effect on other comprehensive income
(Foreign currency: functional currency)			
Financial assets			
Monetary items			
USD:NTD	1%	$ 1,101	$ -
USD:RMB	1%	6,369	-
USD:VND	1%	394	-
Financial liabilities			
Monetary items			
USD:NTD	1%	$ 178	$ -
USD:RMB	1%	1,090	-

	Three months ended March 31, 2021		
	Sensitivity analysis		
	Degree of variation	Effect on profit or loss	Effect on other comprehensive income
(Foreign currency: functional currency)			
Financial assets			
Monetary items			
USD:NTD	1%	$ 1,591	$ -
USD:RMB	1%	7,350	-
USD:VND	1%	580	-
Financial liabilities			
Monetary items			
USD:NTD	1%	$ 297	$ -
USD:RMB	1%	1,377	-

(b) Credit risk

i. Credit risk refers to the risk that a counterparty will default on its contractual obligations resulting in financial loss to the Group. As at the end of the reporting period, the Group's maximum exposure to credit risk which will cause a financial loss to the Group due to failure of discharge an obligation by the counterparties and financial guarantees provided by the Group arises from:

(i) The carrying amount of the respective recognis
ed financial assets as stated in the balance sheets;
(ii) The amount of contingent liabilities in relation to financial guarantee issued by the Group.

ii. In order to mitigate the credit risk, the Group will conduct credit rating for the transaction object and obtain sufficient security if necessary to mitigate the risk of financial loss due to default. If such information is not available, the Group will use other publicly available financial information and mutual transaction records to rate key customers. The Group will continue to monitor the credit risk and the credit rating of the counterparty through the determination of the credit line and the approval of the credit line.

In addition, the Group reviews the recoverable amounts of receivables one by one on the balance sheet date to ensure that appropriate impairment losses have been provided for unrecoverable receivables. Accordingly, the Group's management believes that the Group's credit risk has been significantly reduced.

iii. The Group adopts following assumptions under IFRS 9 to assess whether there has been a significant increase in credit risk on that instrument since initial recognition: If the contract payments were past due over 90 days based on the terms, there has been a significant increase in credit risk on that instrument since initial recognition.

iv. In line with credit risk management procedure, when there is evidence that the counterparty faces serious financial difficulties and the Group cannot reasonably expect to recover the amount, for example, the counterparty is in liquidation, the Group considers that the counterparty has signs of default.

v. The Group wrote-off the financial assets, which cannot be reasonably expected to be recovered, after initiating recourse procedures. However, the Group will continue executing the recourse procedures to secure their rights.

vi. The Group applies the modified approach using a provision matrix to estimate expected credit loss under the provision matrix basis. Based on the Group’s historical experience, there is no significant difference in the loss patterns among different customer groups, the provision matrix does not further differentiate customer groups, and only sets the expected credit loss rate based on the number of days overdue for receivable, except for individual cases that need to be evaluated seperately.

vii. The Group used the forecastability to adjust historical and timely information to assess the default possibility of accounts receivable. On March 31, 2022, December 31, 2021, and March 31, 2021, the provision matrix is as follows:

	Expected loss rate	Total book value	Loss allowance
March 31, 2022			
Not past due	0%	$ 1,150,749	$ -
Up to 90 days	0%	15,541	-
		$ 1,166,290	$ -

	Expected loss rate	Total book value	Loss allowance
December 31, 2021			
Not past due	0%	$ 1,139,054	$ -
Up to 90 days	0%	15,872	-
Over 91 days	100%	74	74
		$ 1,155,000	$ 74

	Expected loss rate	Total book value	Loss allowance
March 31, 2021			
Not past due	0%	$ 1,070,364	$ -
Up to 90 days	0%	24,797	-
Counterparty is in default	100%	2,555	2,555
Separate assessment	0%	5,028	-
		$ 1,102,744	$ 2,555

viii. Movements in relation to the Group applying the modified approach to provide loss allowance for accounts receivable are as follows:

	2022	2021
At January 1	$ 74	$ 2,555
Reversal of impairment loss	(75)	-
Effect of foreign exchange	1	-
At March 31	$ -	$ 2,555

(c) Liquidity risk

i. Cash flow forecasting is performed in the operating entities of the Group and aggregated by the Group's Corporate Treasury function. The Group's Corporate Treasury function monitors rolling forecasts of the Group's liquidity requirements to ensure it has sufficient cash to meet operational needs while maintaining sufficient headroom on its undrawn committed borrowing facilities at all times so that the Group does not breach borrowing limits or covenants on any of its borrowing facilities. Such forecasting takes into consideration the Group's debt financing plans, covenant compliance, compliance with internal balance sheet ratio targets and external regulatory or legal requirements.

ii. The Group has the following undrawn borrowing facilities:

	March 31, 2022	December 31, 2021	March 31, 2021
Floating rate:			
Expiring within one year	$ 2,134,311	$ 2,028,080	$ 1,525,921
Expiring beyond one year	-	-	-
Fixed rate:			
Expiring within one year	$ -	$ -	$ -
Expiring beyond one year	-	-	58,000

Note: The unsecured bank borrowing facilities is paid on demand and is reviewed annually.

iii. The table below analyses the Group's non-derivative financial liabilities into relevant maturity groupings based on the remaining period at the balance sheet date to the contractual maturity date. The amounts disclosed in the table are the contractual undiscounted cash flows.

March 31, 2022	Less than 1 year	Between 1 and 2 years	Between 2 and 5 years	Over 5 years
Non-derivative financial liabilities				
Short-term borrowings	$ 180,421	$ -	$ -	$ -
Notes payable	2,992	-	-	-
Accounts payable	493,408	-	-	-
Other payables	301,600	-	-	-
Lease liabilities	8,212	10,249	4,542	-
Long-term borrowings (including current portion)	44,156	67,294	300,224	113,129
Guarantee deposits received	907	-	-	-

December 31, 2021	Less than 1 year	Between 1 and 2 years	Between 2 and 5 years	Over 5 years
Non-derivative financial liabilities				
Short-term borrowings	$ 295,836	$ -	$ -	$ -
Accounts payable	589,488	-	-	-
Other payables	351,235	-	-	-
Lease liabilities	24,423	11,565	6,137	-
Long-term borrowings (including current portion)	31,665	67,141	300,134	126,435
Guarantee deposits received	902	-	-	-

March 31, 2021	Less than 1 year	Between 1 and 2 years	Between 2 and 5 years	Over 5 years
Non-derivative financial liabilities				
Short-term borrowings	$ 1,041,829	$ -	$ -	$ -
Accounts payable	588,033	-	-	-
Other payables	293,142	-	-	-
Lease liabilities	22,415	13,387	3,954	-
Long-term borrowings (including current portion)	63,076	48,489	118,168	-
Guarantee deposits received	703	-	-	-

(3) Fair value information

A. The different levels that the inputs to valuation techniques are used to measure fair value of financial and non-financial instruments have been defined as follows:

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities that the entity can access at the measurement date. A market is regarded as active where a market in which transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis. The Group has no related investment.

Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly. The fair value of the Group's investment in derivative instruments is included in Level 2.

Level 3: Unobservable inputs for the asset or liability. The fair value of the Group's investment in equity investment without active market is included in Level 3.

B. Except for those listed in the table below, the carrying amounts of cash and cash equivalents, notes receivable, accounts receivable, accounts receivable-related parties, other receivables, guarantee deposits paid, short-term borrowings, notes payable, accounts payable, other payables, lease liabilities, long-term borrowings (including current portion), and guarantee deposits received are approximate to their fair values.

C. The related information of financial instruments measured at fair value by level on the basis of the nature, characteristics and risks of the assets and liabilities is as follows:

(a) The related information on the nature of the assets and liabilities is as follows:

March 31, 2022	Level 1	Level 2	Level 3	Total
Assets				
Recurring fair value measurements				
Financial assets at fair value through profit or loss				
Forward foreign exchange contracts	$ -	$ 7,331	$ -	$ 7,331
Financial assets at fair value through other comprehensive income				
Equity instruments	-	-	2,862	2,862
	$ -	$ 7,331	$ 2,862	$ 10,193

December 31, 2021	Level 1	Level 2	Level 3	Total
Assets				
Recurring fair value measurements				
Financial assets at fair value through profit or loss				
Forward foreign exchange contracts	$ -	$ 13,657	$ -	$ 13,657
Financial assets at fair value through other comprehensive income				
Equity instruments	-	-	14,468	14,468
	$ -	$ 13,657	$ 14,468	$ 28,125

March 31, 2021	Level 1	Level 2	Level 3	Total
Assets				
Recurring fair value measurements				
Financial assets at fair value through profit or loss				
Forward foreign exchange contracts	$ -	$ 5,215	$ -	$ 5,215
Financial assets at fair value through other comprehensive income				
Equity instruments	-	-	11,744	11,744
	$ -	$ 5,215	$ 11,744	$ 16,959

(b)The methods and assumptions the Group used to measure fair value are as follows:

i. Except for financial instruments with active markets, the fair value of other financial instruments is measured by using valuation techniques or by reference to counterparty quotes. The fair value of financial instruments measured by using valuation techniques can be referred to current fair value of instruments with similar terms and characteristics in substance, discounted cash flow method or other valuation methods, including calculated by applying model using market information available at the consolidated balance sheet date.

ii. When assessing non-standard and low-complexity financial instruments, for example, interest rate swap contracts and foreign exchange swap contracts, the Group adopts valuation technique that is widely used by market participants. The inputs used in the valuation method to measure these financial instruments are normally observable in the market.

iii. The valuation of derivative financial instruments is based on valuation model widely accepted by market participants, such as present value techniques and option pricing models. Forward exchange contracts are usually valued based on the current forward exchange rate.

iv. The output of valuation model is an estimated value and the valuation technique may not be able to capture all relevant factors of the Group’s financial and non-financial instruments. Therefore, the estimated value derived using valuation model is adjusted accordingly with additional inputs, for example, model risk or liquidity risk and etc. In accordance with the Group’s management policies and relevant control procedures relating to the valuation models used for fair value measurement, management believes adjustment to valuation is necessary in order to reasonably represent the fair value of financial and non-financial instruments at the consolidated balance sheet. The inputs and pricing information used during valuation are carefully assessed and adjusted based on current market conditions.

D. For the three months ended March 31, 2022 and 2021, there was no transfer between Level 1 and Level 2.

E. The following chart is the movement of Level 3 for the three months ended March 31, 2022 and 2021:

	2022	2021
	Equity instrument	Equity instrument
At January 1	$ 14,468	$ 11,738
Transfers out from level 3	(11,700)	-
Effect of exchange rate changes	94	6
At March 31	$ 2,862	$ 11,744

F. Information relating to transfer out amounting to $11,700 from Level 3 is provided in Note 6(7). For the three months ended March 31, 2021, there was no transfer into or out from Level 3.

G. Investing segment is in charge of valuation procedures for fair value measurements being categorised within Level 3, which is to verify independent fair value of financial instruments. Such assessment is to ensure the valuation results are reasonable by applying independent information to make results close to current market conditions, confirming the resource of information is independent, reliable and in line with other resources and represented as the exercisable price, and frequently calibrating valuation model, performing back-testing, updating inputs used to the valuation model and making any other necessary adjustments to the fair value. Investment segment set up valuation policies, valuation processes and rules for measuring fair value of financial instruments and ensure compliance with the related requirements in IFRS.

H. The following is the qualitative information of significant unobservable inputs and sensitivity analysis of changes in significant unobservable inputs to valuation model used in Level 3 fair value measurement:

	March 31, 2022	Valuation technique	Significant unobservable input	Range (weighted average)	Relationship of inputs to fair value
Non-derivative equity instrument:					
Unlisted shares	$ 2,862	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.

	December 31, 2021	Valuation technique	Significant unobservable input	Range (weighted average)	Relationship of inputs to fair value
Non-derivative equity instrument:					
Unlisted shares	$ 2,768	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.

	December 31, 2021	Valuation technique	Significant unobservable input	Range (weighted average)	Relationship of inputs to fair value
Non-derivative equity instrument:					
Unlisted shares	$ 11,700	Discounted cash flow	Long-term revenue growth rate, weighted average cost of capital, long-term pre-tax operating margin, discount for lack of marketability, discount for lack of control	Not applicable	The higher the weighted average cost of capital and discout for lack of control, the lower the fair value; the higher the long-term revenue growth rate and long-term pre-tax operating margin, the higher the fair value.

	March 31, 2021	Valuation technique	Significant unobservable input	Range (weighted average)	Relationship of inputs to fair value
Non-derivative equity instrument:					
Unlisted shares	$ 11,744	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.

(4) Other matters

The Group maintained normal operations during the period of the COVID-19 pandemic and was not affected by the government's implementation of various epidemic prevention measures. After the assessment, the Group’s ability to continue operating, asset impairment and financing risks were not significantly affected.

13. Supplementary Disclosures

(1) Significant transactions information

A. Loans to others: Refer to table 1.

B. Provision of endorsements and guarantees to others: None.

C. Holding of marketable securities at the end of the period (not including subsidiaries, associates and joint ventures): Refer to table 2.

D. Acquisition or sale of the same security with the accumulated cost exceeding $300 million or 20% of the Company’s paid-in capital: None.

E. Acquisition of real estate reaching $300 million or 20% of paid-in capital or more: None.

F. Disposal of real estate reaching $300 million or 20% of paid-in capital or more: None.

G. Purchases or sales of goods from or to related parties reaching $100 million or 20% of paid-in capital or more: None.

H. Receivables from related parties reaching $100 million or 20% of paid-in capital or more: None.

I. Trading in derivative instruments undertaken during the reporting periods: Please refer to Notes 6(2), 6(22) and 12(2).

J. Significant inter-company transactions during the reporting periods: None.

(2) Information on investees

Names, locations and other information of investee companies (not including investees in Mainland China): Refer to table 3.

(3) Information on investments in Mainland China

A. Basic information: Refer to table 4.

B. Significant transactions, either directly or indirectly through a third area, with investee companies in the Mainland Area: None.

(4) Major shareholders information

Major shareholders information: Refer to table 5.

14. Segment Information

(1) General information

Management has determined the reportable operating segments based on the reports reviewed by Board of Directors that are used to make strategic decisions.

There is no material change in the basis for formation of entities and division of segments in the Group or in the measurement basis for segment information during this period.

(2) Segment Information

The segment information provided to the chief operating decision-maker for the reportable segments is as follows:

Three months ended March 31, 2022	Domestic	Asia	Total
Revenue from external customers	$ 272,559	$ 553,664	$ 826,223
Inter-segment revenue (Note)	1,436	2,495	3,931
Total segment revenue	$ 273,995	$ 556,159	$ 830,154
Segment (loss) income	($ 54,541)	$ 19,675	($ 34,866)

Three months ended March 31, 2021	China	Asia	Total
Revenue from external customers	$ 313,241	$ 510,749	$ 823,990
Inter-segment revenue (Note)	1,529	2,800	4,329
Total segment revenue	$ 314,770	$ 513,549	$ 828,319
Segment (loss) income	($ 58,473)	$ 14,179	($ 44,294)

Note: Sales between segments are carried out at arm's length.

(3) Reconciliation for segment income (loss)

The revenue from external customers reported to the chief operating decision-maker is measured in a manner consistent with that in the statement of comprehensive income.

A reconciliation of reportable segment income or loss to the income (loss) before tax from continuing operations for the three months ended March 31, 2022 and 2021 is provided as follows:

	Three months ended March 31,	
	2022	2021
Reportable segments loss	($ 34,866)	($ 44,294)
Total non-operating income and expenses	4,287	231,740
(Loss) income before tax from continuing operations	($ 30,579)	$ 187,446

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES

Loans to others

Three months ended March 31, 2022

Table 1

Expressed in thousands of NTD

(Except as otherwise indicated)

No. (Note 1)	Creditor	Borrower	General ledger account	Is a related party	Maximum outstanding balance during the three months ended March 31, 2022	Balance at March 31, 2022 (Note 2)	Actual amount drawn down	Interest rate	Nature of loan	Amount of transactions with the borrower	Reason for short-term financing	Allowance for doubtful accounts	Collateral Item	Collateral Value	Limit on loans granted to a single party (Note 1)	Ceiling on total loans granted (Note 1)	Footnote
0	The Company	LEGIUN	Other receivables - related party	Yes	$ 15,000	$ 15,000	-	-	Short-term financing	-	Operational need	-	Promissory Note	$ 15,000	$ 588,959	$ 1,177,918	

Note 1: According to the parent company's "Management policies on Financing provided to Others "

(1) For individual companies, the loan shall not exceed 20% of the net value of the lender's most recent financial statements.

(2) The total amount of loan and loan shall not exceed 40% of the net value of the latest financial statement of the lender.

Note 2: Pursuant to paragraph 2 of article 14 in Regulations Governing Loaning of Funds and Making of Endorsements/Guarantees by Public Companies, loans of funds between the public company and its related parties shall be submitted for a resolution by the board of directors, and the chairman may be authorized, within a certain monetary limit resolved by the board of directors, and within a period not to exceed one year, to give loans in installments or to make a revolving credit line available for the counterparty to draw down. Such loan monetary limit i s disclosed herein.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES

Holding of marketable securities at the end of the period (not including subsidiaries, associates and joint ventures)

Three months ended March 31, 2022

Table 2

Expressed in thousands of NTD / foreign currency
(Except as otherwise indicated)

Securities held by	Marketable securities	Relationship with the securities issuer	General ledger account	As of March 31, 2022 Number of shares	Book value	Ownership	Fair value	Footnote
The Company	Preferred shares of I Company	-	Financial assets at fair value through other comprehensive income- non-current	0.125	$ -	-	$ -	JPY -
JOCHU BVI	Preferred shares of W Company	-	Financial assets at fair value through other comprehensive income- non-current	61	2,862	-	2,862	USD 100
JOCHU BVI	Preferred shares of PIH	Subsidiary	Financial assets at fair value through other comprehensive income- non-current	30	859	-	859	USD 30

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
Information on investees
Three months ended March 31, 2022

Table 3

Expressed in thousands of NTD / shares
(Except as otherwise indicated)

Investor	Investee	Location	Main business activities	Initial investment amount: Balance as at March 31, 2022	Initial investment amount: Balance as at December 31, 2021	Shares held as at March 31, 2022: Number of shares	Shares held as at March 31, 2022: Ownership (%)	Shares held as at March 31, 2022: Book value	Net profit (loss) of the investee for the three months ended March 31, 2022	Investment income (loss) recognised by the Company for the three months ended March 31, 2022	Footnote
The Company	JOCHU BVI	British Virgin Islands	Investment holding	$ 957,549	$ 957,549	30,565	100%	$ 2,628,761	$ 19,603	$ 19,603	
	LEGIUN	Taiwan	Sales of medical devices	80,000	30,000	8,000	100%	54,301	(1,228)	(1,228)	
	eBio International Co., Ltd.	Taiwan	For medical electronics related R&D and manufacturing, biomedical sensors, design and integration of health care systems business.	11,700	-	900	9.81%	11,515	(1,887)	(185)	
JOCHU BVI	JOCHU GLOBAL	Cayman Islands	Investment holding	328,912	328,912	10,000	100%	644,397	5,839	5,839	
JOCHU BVI	PIH	Singapore	Investment holding	286,858	286,858	9,848	65%	268,419	(8,704)	(5,658)	
JOCHU GLOBAL	JOCHU INTERNATIONAL	Cayman Islands	Investment holding	328,912	328,912	10,000	100%	644,397	5,839	5,839	
PIH	JOCHU VIETNAM	Vietnam	Sales of optoelectronic components, stamping molds, and related international trading business	437,133	437,133	Not applicable	100%	415,071	(3,654)	(3,654)	

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
Information on investments in Mainland China
Three months ended March 31, 2022

Table 4

Expressed in thousands of NTD / foreign currency
(Except as otherwise indicated)

Investee in Mainland China	Main business activities	Paid-in capital	Investment method (Note 1)	Accumulated amount of remittance from Taiwan to Mainland China as of January 1, 2022	Amount remitted from Taiwan to Mainland China/ Amount remitted back to Taiwan for the three months ended March 31, 2022: Remitted to China	Remitted back to Taiwan	Accumulated amount of remittance from Taiwan to Mainland China as of March 31, 2022	Net income of investee for the three months ended March 31, 2022	Ownership held by the Company (direct or indirect)	Investment income (loss) recognised by the Company for the three months ended March 31, 2022 (Note 2)	Book value of investments in Mainland China as of March 31, 2022	Accumulated amount of investment income remitted back to Taiwan as of March 31, 2022	Footnote
SUZHOU JOCHU	Production and sales of optoelectronic components, stamping molds, and related international trading business	$ 569,170	Note 1(2)A	$ 367,541	$ -	$ -	$ 367,541	$ 14,564	100%	$ 14,564	$ 1,698,407	$ 866,991	Note 2(2)B
XIAMEN JOCHU	Production and sales of optoelectronic components, stamping molds, and related international trading business	451,775	Note 1(2)B	328,912	-	-	328,912	8,759	100%	8,759	966,587	257,293	Note 2(2)B

Company name	Accumulated Outward Remittance for Investments in Mainland China as of December 31, 2021	Investment Amount Authorized by the Investment Commission, MOEA	Upper Limit on the Amount of Investments Stipulated by the Investment Commission, MOEA (Note 3)
The Company	$ 696,453 (USD21,500)	$ 862,275 (USD28,801)	$ 1,766,877

Note 1: Investment methods are classified into the following three categories; fill in the number of category each case belongs to:
(1) Directly invest in a company in Mainland China.
(2) Through investing in an existing company in the third area, which then invested in the investee in Mainland China.
A. Invested through Jochu Investment Ltd.。
B. Invested 66.67% by Jochu International (Cayman) Ltd. and 33.33% by Suzhou Zhou Qiao Precision Metal Co., Ltd., totaling 100%.
(3) Others
Note 2: In the 'Investment income (loss) recognised by the Company for the three-month period ended March 31, 2022' column:
(1) It should be indicated if the investee was still in the incorporation arrangements and had not yet any profit during this period.
(2) Indicate the basis for investment income (loss) recognition in the number of one of the following three categories:
A.The financial statements were reviewed by international accounting firm which has cooperative relationship with accounting firm in R.O.C.
B.The financial statements were reviewed by R.O.C. parent company's CPA.
C.Others.
Note 3: According to the new regulations issued by the Investment Review Committee of the Ministry of Economic Affairs in August 2009,
the calculation method of the investment limit for the mainland area is the net value or 60% of the combined net value, whichever is higher.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES

Major shareholders information

March 31, 2022

Table 5

Name of major shareholders	Shares		
	Number of shares held (Ordinary share)	Number of shares held (preferred share)	Ownership (%)
Heng Xing Investment Co., Ltd.	8,969,000	-	10.04%
China Development Capital Co., L td.	4,746,720	-	5.31%

Note 1: The information of major shareholders presented in this table is provided by the Taiwan Depository& Clearing Corporation based on the number o f ordinary shares and preferred shares held by shareholders with ownership of 5% or greater , that have been issued without physical registration(included treasury shares) by the Group as of the last business day for the current quarter. The share capital in the consolidated financial statements may differ from the actual number of shares that have been issued without physical registration because of different preparation basis.

Note 2: If a shareholder delivers their shareholdings to the trust, the above information will be disclosed by the individua l trustee who opened the trust account. For shareholders who declare insider shareholdings with ownership greater than 10% in accordance with Securities and Exchange Act, the shareholdings include shares held by shareholders and those delivered to the trust over which shareholders have rights to determine the use of trust property. For information relating to insider shareholding declaration, please refer to Market Observation Post System.

Note 3: The principle of preparation of this table is to calculate the distribution of the balance of each credit transaction with reference to the roster of securities owners whose transfer has been suspended by the shareholders' temporary meeting (the securities lending will not be replenished).

Note 4: Shareholding rate (%)＝Number of shares held / Total number of shares that have been issued without physical registration

Note 5: Total number of shares that have been issued without physical registration (including treasury shares) is 89,263,150 shares = 89,263,150 (Ordinary share)+ 0 (Preferred share).